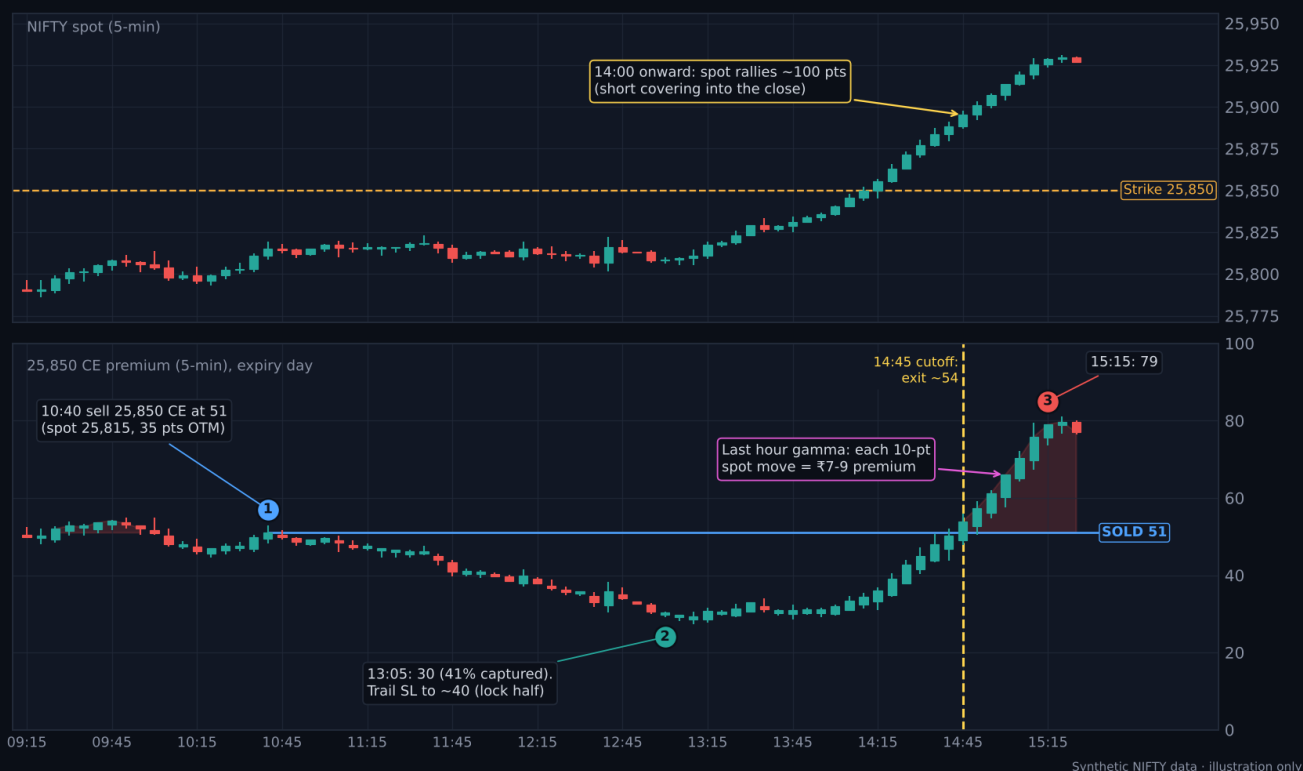


Guruji's Price-Action Manual

How the market traps traders, and how to trade with smart money

Ch 10 • Expiry-day gamma spike: short 25,850 CE goes 51 → 30 → 79

Premium computed with Black-Scholes from the spot path (IV 11.8%). 5 lots x 65 = 325 qty: -28 pts = -₹9,100



"You earn in theta. You lose in gamma. You survive with rules."

Before you begin

This manual is written in the voice of **Guruji**, a fictional composite of a price-action trader with 30+ years in Indian markets. It is for one reader: a NIFTY weekly-options trader who lost about 46% of capital through oversized positions, missing stop-losses, expiry-day gamma spikes and revenge trading, and wants to understand how those losses were engineered and how to stop being the liquidity.

Every chapter follows the same pattern: **(a)** the concept, **(b)** why it works, **(c)** annotated chart(s), **(d)** a NIFTY example with realistic levels, **(e)** a rule-based entry, stop-loss and target, **(f)** common mistakes and **(g)** a three-point summary. All charts are generated from **synthetic** NIFTY data designed to show each pattern clearly; option premiums in Chapters 10, 11 and 23 are computed with the Black-Scholes model from the spot path.

Market facts verified for this edition (6 Oct 2026)

NIFTY lot size	65 units (from the Jan-2026 contract series; it was 75). NSE reviews lot sizes every June and December.
Weekly expiry	Tuesday (since Sep 2025). Monthly expiry: last Tuesday of the month.
Weekly contracts	One weekly index expiry per exchange (since Nov 2024): NSE = NIFTY only; BANKNIFTY, FINNIFTY, MIDCPNIFTY are monthly.
Expiry-day margin	Additional 2% extreme loss margin on short index options on expiry day (since Nov 2024); no calendar-spread margin benefit on expiry day (since Feb 2025).
Other SEBI measures	Minimum contract value ₹15 lakh at introduction; upfront collection of option premium; intraday monitoring of position limits (Apr 2025); delta-based (FutEq) position limits (Oct 2025).
Pre-open session	Index and stock futures have a 09:00-09:15 pre-open auction (since 8 Dec 2025); the order-entry phases were revised from 7 Sep 2026.
STT on options	0.15% of premium on the sell side (from 1 Apr 2026, Union Budget 2026-27; was 0.10%).
Watch list	Reports in Aug 2026 that regulators were considering further curbs on weekly expiries; not enacted as of 6 Oct 2026. Always verify on nseindia.com and sebi.gov.in .

GURUJI SAYS

Rules change; principles don't. Liquidity, structure and risk worked in the ring at Dalal Street in 1994 and they work on Kite in 2026. But lot sizes, expiry days and margins change every year, so re-check them every June and December.

How to read the callouts

GURUJI SAYS

Experience and perspective from the trading floor.

RETAIL MISTAKE

What retail traders typically do wrong.

RULE

A non-negotiable rule to copy into your plan.

Risk disclaimer

This manual is for education only. It is not investment advice, a recommendation, or a research report, and the author persona is not a SEBI-registered investment adviser or research analyst. Trading futures and options involves substantial risk of loss and is not suitable for most investors; SEBI's FY25 study found about 91% of individual F&O traders made net losses. Any win rates mentioned are **illustrative only**, not promises, and no setup in this book guarantees profit. Past patterns don't predict future results. Verify every contract specification and rule with NSE, SEBI and your broker before trading, and never risk money you cannot afford to lose.

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PART 1 · HOW THE MARKET REALLY WORKS

01 Who Moves NIFTY

Know the players before you sit at the table.

(a) The concept

NIFTY does not move because of your analysis. It moves because large orders hit the market. Five groups place those orders, and each has a different job, time horizon and edge.

FIIs (foreign portfolio investors) move thousands of crores through cash and futures; their flow creates the trend of the day and the week. **DII**s (mutual funds, insurance) absorb FII selling with SIP money and buy dips patiently. **Prop desks and algos** are fast, well capitalised and live on the first and last hour, scalping liquidity. **Option writers** (institutions, HNIs, desks) sell premium and defend strikes with heavy open interest. **Retail** is the largest group by headcount and the smallest by capital, and it arrives late.

GURUJI SAYS

On the BSE floor in '94, we had a saying: 'Every trade has two sides, beta. If you can't see who is on the other side, it is you.' Retail is the counterparty institutions need, not the competition.

(b) Why it works: the psychology

Big money cannot buy ₹500 crore at one price. It needs someone to sell to it. The easiest sellers are traders who are scared (stop-losses) or greedy (shorting tops, buying puts at lows). So big players engineer moves that make retail do the opposite of what they need. SEBI's FY25 study found 91% of individual F&O traders lost money, with an average net loss of about ₹1.1 lakh. That is the food chain: retail's losses are the desks' income.

(c) Annotated chart



One session, five players: algos at the open, FII trend, writers pinning 25,900, retail buying the 14:45 breakout, and the reversal that turns those buyers into exit liquidity.

(d) NIFTY example

Look at the chart. NIFTY opens at 25,780. The first 30 minutes chop 40 points either way. That is algos hunting the overnight stops. From 10:15 to 12:30 an FII buy programme lifts NIFTY steadily to 25,900 with shallow pullbacks. From 12:45 to 14:15 price is glued to 25,900, the strike with the heaviest call and put OI: writers are collecting theta. At 14:45 NIFTY pokes to 25,935 and retail buys 'the breakout'. Within 30 minutes it is back at 25,860.

Who sold to those breakout buyers? Writers hedging, prop desks booking the day's long, and FIIs completing their programme. The retail buyer paid the top price to give them exit liquidity.

(e) Rule-based entry, stop-loss and target

Rule	Trade only with the dominant player of that time window
Entry	Join the FII trend on pullbacks (10:00-12:30), never chase late breakouts
Stop-loss	Below the last higher-low of the trend leg (e.g. 25,835 at 11:30)
Target	Previous day high / round number where writers sit (25,900)
Avoid	New positions after 14:30 on expiry day; first 15 minutes

RULE

Before every trade, write one line: 'Who is on the other side of this trade, and why are they wrong?' If you can't answer, don't trade.

(f) Common mistakes

- ✗ Treating NIFTY like a fair coin, when it is a game with insiders who see the order book.
- ✗ Buying the move only after it is obvious on the 15-min chart, which is the moment institutions finish.
- ✗ Ignoring time of day: the same candle means different things at 09:20, 12:30 and 14:50.

RETAIL MISTAKE

Seeing a green candle at 14:45 and thinking 'it's breaking out'. That candle is usually a desk unloading into your buy order.

(g) Summary**SUMMARY: 3 THINGS TO REMEMBER**

1. FIIs make the trend, writers make the range, algos make the noise. Retail provides the liquidity.
2. Each time window has a dominant player. Trade with them, not against them.
3. If you can't name the trapped side of a move, you probably are the trapped side.

PART 1 • HOW THE MARKET REALLY WORKS

02 Liquidity: Where the Orders Sit

Price goes where the orders are.

(a) The concept

Liquidity means resting orders: stop-losses, breakout entries and limit orders. Institutions need it to fill large positions without moving price against themselves. Liquidity pools form at **obvious** places:

- Swing highs and lows, especially equal highs/lows (double the stops).
- Round numbers: 25,500, 26,000, 26,500 (and 22,500/23,000 in older years).
- Previous day high (PDH), low (PDL) and close (PDC).
- The opening-range high and low (09:15-09:30).
- Trendlines and 'textbook' support/resistance that every YouTube trader draws.

GURUJI SAYS

Market ka ek hi niyam hai: the more obvious the level, the more orders sit there, and the more valuable it is to the operator. An obvious level is a target, not protection.

(b) Why it works: the psychology

Above a swing high sit buy-stops: short sellers' stop-losses (buy orders) plus breakout buyers' entry orders. Below a swing low sit sell-stops. A big seller who wants to short 5,000 lots needs 5,000 lots of buying. Where does he find it all at once? Just above the equal highs. That is why price so often 'pokes' a level and reverses: the poke was the fill.

(c) Annotated chart



A liquidity map: buy-stops above equal highs 25,991, the 26,000 round number and PDH 26,020; sell-stops below the opening range, the trendline and PDL 25,905.

(d) NIFTY example

In the chart, NIFTY has made equal highs at 25,991 twice, just under 26,000 and PDH 26,020. That 30-point band holds three layers of buy orders. Below, the opening-range low 25,922, the rising trendline and PDL 25,905 stack sell orders. Before taking any trade, mark these two pools. The question is never 'will it go up?' but 'which pool will be taken first, and what happens after?'

(e) Rule-based entry, stop-loss and target

Rule	Map liquidity before 09:15; never place your SL exactly at an obvious level
Entry	Only after a pool is taken (swept) and price rejects it
Stop-loss	Beyond the sweep extreme, not at the obvious level (e.g. above 26,035, not 25,995)
Target	The opposite liquidity pool (e.g. 25,905 PDL)
Map	PDH, PDL, PDC, round numbers, OR high/low, equal highs/lows, OI walls

RULE

Your stop-loss must sit where the operator does not want price to go, never where every other trader's stop sits. Add a buffer of 10-15 NIFTY points beyond obvious levels.

(f) Common mistakes

- ✗ Putting the SL exactly 5 points below support, which is exactly where the hunt goes.
- ✗ Buying 'just above resistance' when that is precisely the buy-stop pool sellers are waiting for.
- ✗ Treating round numbers as magic support/resistance instead of as magnets for liquidity.

RETAIL MISTAKE

Drawing the same trendline as 50,000 other traders and placing the stop just below it. You've volunteered as liquidity.

(g) Summary**SUMMARY: 3 THINGS TO REMEMBER**

1. Liquidity = resting orders. It sits at obvious highs, lows, round numbers and PDH/PDL.
2. Price is pulled toward liquidity before the real move.
3. Mark the pools before the open; trade after a pool is taken, not before.

PART 1 · HOW THE MARKET REALLY WORKS**03****Inducement and the Sweep**

First they build the trap, then they spring it.

(a) The concept

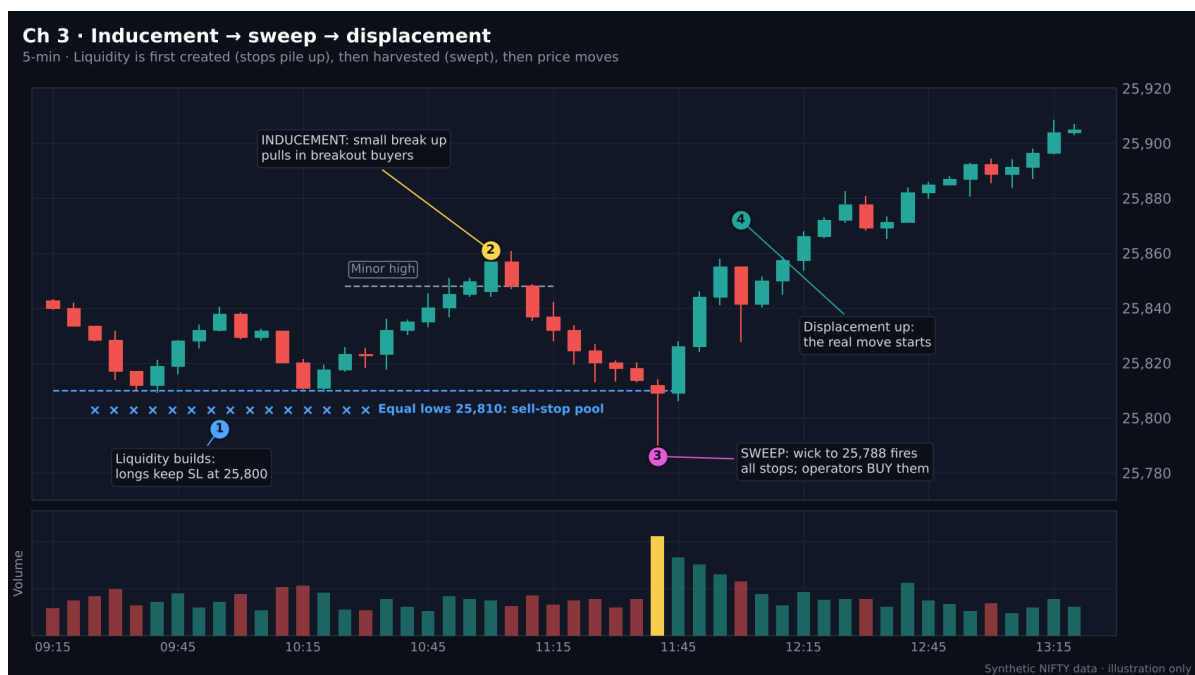
Liquidity is first **created** and then **harvested**. Creation is called **inducement**: a small, convincing move that pulls traders in and makes them place stops in a predictable place. Harvesting is the **sweep** (or stop hunt): a fast spike through that place, filling large orders against the stops, followed by **displacement**, a strong move in the real direction.

GURUJI SAYS

Bakra ko pehle chara dikhate hain, phir halaal karte hain: first you show the goat the grass, then you take it. Inducement is the grass.

(b) Why it works: the psychology

An institution that wants to go long must buy from sellers. Inducement creates those sellers: a small break up pulls in breakout buyers whose stops sit under the range; equal lows pile up more stops. When the sweep hits those stops, they become market sell orders, which the institution absorbs with its buy limit. The volume spike on the sweep candle is the fingerprint of that transfer.

(c) Annotated chart

Equal lows at 25,810 build sell-stops; a small break of the minor high (inducement) adds more; the 11:40 wick to 25,788 sweeps them on 3x volume; displacement follows.

(d) NIFTY example

NIFTY ranges between 25,810 and 25,848 for two hours. Longs keep their SL at 25,800. At 11:00 a candle breaks the minor high to 25,859 and breakout buyers jump in with stops below 25,810. At 11:40 a single candle wicks to 25,788 on the day's highest volume and closes back at 25,809. The next three candles close at 25,826, 25,844 and 25,855. The sweep is complete and NIFTY reaches 25,905 by 13:15.

(e) Rule-based entry, stop-loss and target

Entry	Long 25,826, on the first close back above the swept level 25,810
Stop-loss	25,785 (3 points below the sweep wick 25,788)
Target	T1 25,860 (inducement high), T2 25,905; R:R about 1:0.8 / 1:1.9
Filter	Sweep candle volume $\geq 2x$ the 20-bar average; close back inside within 2 candles
Time	Best 09:30-11:30 and 13:00-14:30

RULE

No volume spike on the sweep, no trade. A slow drift below the level is a breakdown, not a sweep.

(f) Common mistakes

- ✗ Entering during the sweep candle (catching a falling knife) instead of after it closes back inside.
- ✗ Calling every dip a sweep. A real sweep is fast, on high volume, and is reclaimed quickly.
- ✗ Placing your own stop at the same obvious place the sweep just cleaned.

RETAIL MISTAKE

Buying the inducement breakout at 25,859 with a stop at 25,805, then getting swept at 25,788 and watching NIFTY go to 25,905 without you.

(g) Summary**SUMMARY: 3 THINGS TO REMEMBER**

1. Inducement creates stops; the sweep harvests them; displacement is the real move.
2. Confirm a sweep by volume and a quick close back inside the level.
3. Enter after the reclaim, SL beyond the wick, target the opposite liquidity.

PART 1 · HOW THE MARKET REALLY WORKS

04 Market Structure: HH/HL, BOS and CHoCH

Structure tells you whose side to be on.

(a) The concept

An uptrend is a series of **higher highs (HH)** and **higher lows (HL)**; a downtrend, **lower highs (LH)** and **lower lows (LL)**. A **break of structure (BOS)** is a candle close beyond the last swing in the trend direction: it confirms continuation. A **change of character (CHoCH)** is the first close beyond the last swing *against* the trend, for example below the last HL in an uptrend. It is the earliest warning that control has changed hands.

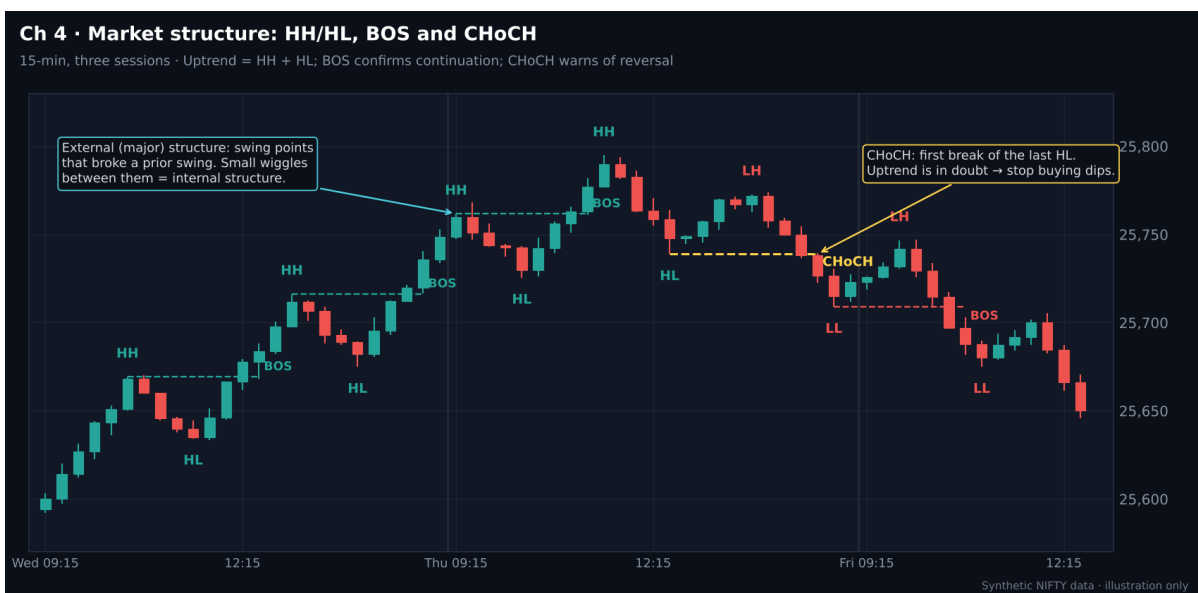
External structure is the major swings that defined the trend (on 15-min). **Internal structure** is the smaller wiggles inside a leg (on 5-min). Trade the external, time entries with the internal.

GURUJI SAYS

Trend is your friend only till the CHoCH. After that, he's a stranger. Don't lend him money.

(b) Why it works: the psychology

A higher low exists because buyers defended it. When price closes below that low, the buyers who defended it are now trapped and their stops are below. Their forced selling feeds the new direction. That is why a CHoCH often precedes a sharp move, and why a BOS in trend direction attracts fresh participants.

(c) Annotated chart

15-min, three sessions: HH/HL with BOS in the uptrend, CHoCH on Thursday afternoon when the last HL (~25,740) breaks, then LH/LL and a bearish BOS on Friday.

(d) NIFTY example

Wednesday and Thursday morning print clean HH/HL with BOS each time. On Thursday afternoon, after a final HH near 25,790, the pullback breaks the last HL around 25,740 on a 15-min close. That's the CHoCH. On Friday the bounce fails at a lower high near 25,770 and a bearish BOS below 25,708 confirms the downtrend. The short entry comes at the LH, not at the CHoCH itself.

(e) Rule-based entry, stop-loss and target

Entry	Short at the first LH after CHoCH (~25,765-25,770) when a 5-min bearish candle confirms
Stop-loss	25,792, above the lower high
Target	Next sell-side liquidity: 25,708 swing low, then 25,680
R:R	About 1:2.5 to the first target
Bias	Uptrend = buy dips / sell puts; downtrend = sell rallies / sell calls

RULE

Only trade in the direction of 15-min external structure. A CHoCH means stop trading the old trend; it doesn't by itself mean trade the new one.

(f) Common mistakes

- ✗ Labelling every 5-min wiggle as a HH or LL. Use 15-min swings for structure.
- ✗ Shorting immediately on CHoCH instead of waiting for the lower high (a retest).
- ✗ Ignoring a CHoCH because your bias 'feels' bullish.

RETAIL MISTAKE

Selling puts 'because the trend is up' on Friday morning, after Thursday's CHoCH already told you the trend had changed.

(g) Summary**SUMMARY: 3 THINGS TO REMEMBER**

1. HH/HL = up, LH/LL = down. BOS confirms, CHoCH warns.
2. Structure from 15-min, entries from 5-min.
3. After a CHoCH, wait for the first lower high (or higher low) to enter.

PART 2 · RETAIL TRAPS

05 The False Breakout (Bull and Bear Traps)

The breakout everyone sees is the one that fails.

(a) The concept

A **bull trap** is a break above resistance that quickly closes back below it; a **bear trap** is the mirror image below support. Breakout traders who bought (or sold) the break are now trapped, and their stops become fuel for the move in the opposite direction.

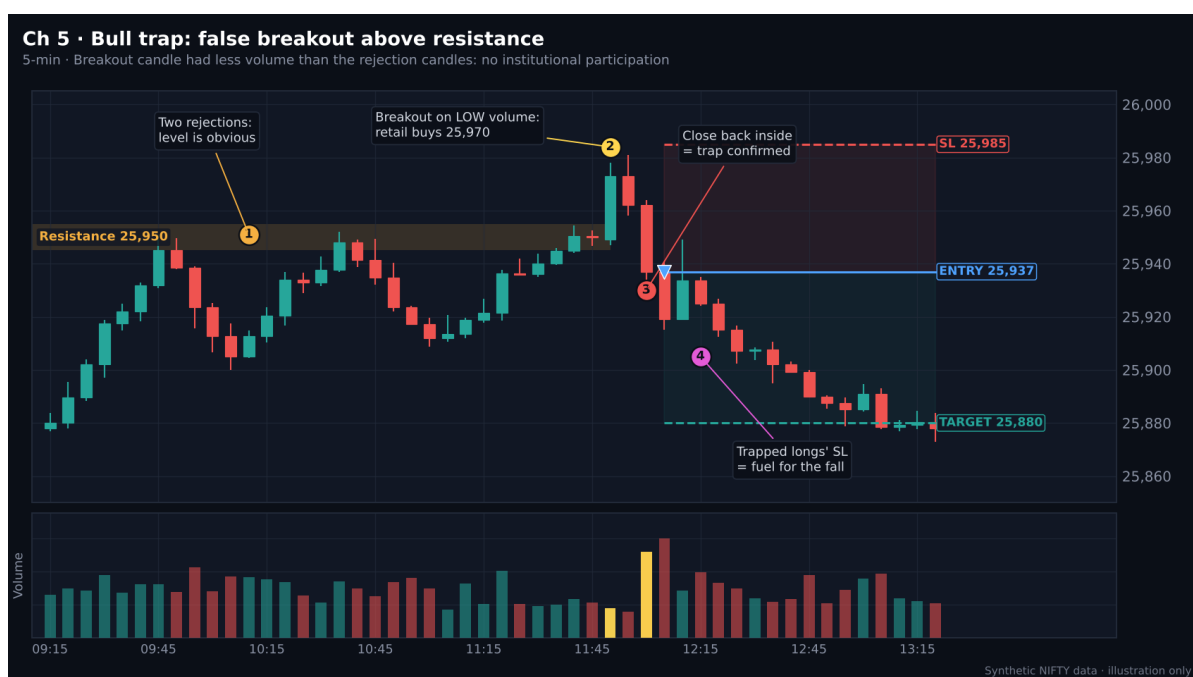
GURUJI SAYS

When a level has been touched three times and everyone is waiting for the break, ask: who is left to buy after the breakout traders are in? Usually nobody.

(b) Why it works: the psychology

A breakout needs new aggressive buyers. When the breakout candle has **less** volume than the rejection candles before it, institutions aren't participating. The only buyers are retail breakout orders and short-covering stops, which is exactly the liquidity a seller needs. Once those orders are filled, there is no fuel left, and price falls back into the range.

(c) Annotated charts



Bull trap: two rejections at 25,950, an 11:50 breakout to 25,973 on low volume, a close back inside at 12:00, and a fall to 25,880.

(d) NIFTY example

Bull trap. NIFTY rejects 25,950 at 09:45 and 10:35. At 11:50 a green candle closes at 25,973 and Telegram channels shout 'breakout'. Volume on that candle is lower than on either rejection. Two candles later price closes at 25,937, back inside. The trapped longs' stops sit at 25,930-25,940 and below, and price falls to 25,880 by 13:15.

Bear trap. Support 25,700 holds twice. At 11:50 it breaks to 25,681 and retail buys puts. At 12:00 a strong green candle closes at 25,713 on 3x volume. Shorts cover and NIFTY reaches 25,790.



Bear trap: support 25,700 breaks to 25,681 on weak volume; the 12:00 reclaim candle has 3x the volume and NIFTY rallies to 25,790.

(e) Rule-based entry, stop-loss and target

Entry (bull trap)	Short 25,937 on the first 5-min close back below 25,950
Stop-loss	25,985, above the trap high 25,981 + buffer
Target	T1 25,880 range low ($\approx 1:1.2$); trail the rest
Entry (bear trap)	Long 25,726 after the reclaim; SL 25,668; target 25,785 ($\approx 1:1$)
Filter	Breakout volume < rejection volume; close back inside within 3 candles

RULE

Never buy the first 5-min close above a well-known level. Wait for a retest that holds, or for the failure that gives you the opposite trade.

(f) Common mistakes

- ✗ Buying a breakout on a candle with below-average volume.
- ✗ Holding a failed breakout and 'hoping' instead of exiting on the close back inside.
- ✗ Shorting the trap too early, before price has actually closed back inside the range.

RETAIL MISTAKE

Selling 25,900 PE at the breakout 'because support is now below'. When the trap fails, that PE premium doubles in 20 minutes.

(g) Summary

SUMMARY: 3 THINGS TO REMEMBER

1. A breakout without volume is an invitation, not a signal.
2. The trade is the failure: close back inside the range plus trapped traders' stops.
3. SL beyond the trap extreme; first target is the other side of the range.

PART 2 · RETAIL TRAPS

06 The Stop-Loss Hunt

Your stop is someone else's entry.

(a) The concept

A **stop hunt** is a fast move just beyond a level where stops cluster, designed to trigger them, followed by a reversal. Below support it fills big buyers; above resistance it fills big sellers. It differs from a bear/bull trap mainly in speed: a hunt is usually a single long-wicked candle.

GURUJI SAYS

SL hunting is not a conspiracy, it's arithmetic. A desk that wants 3,000 lots at 25,570 knows where 3,000 lots of sell orders are waiting: in your stop-losses at 25,580-25,590.

(b) Why it works: the psychology

Support touched three times is the most obvious place on the chart, so stops pile up just below it. When price spikes into them, the stops become market sell orders. A large buyer with limit orders absorbs the whole lot at good prices. When selling dries up, there are no sellers left and price snaps back. The tell is a long wick plus the session's biggest volume, closing back above the level.

(c) Annotated charts

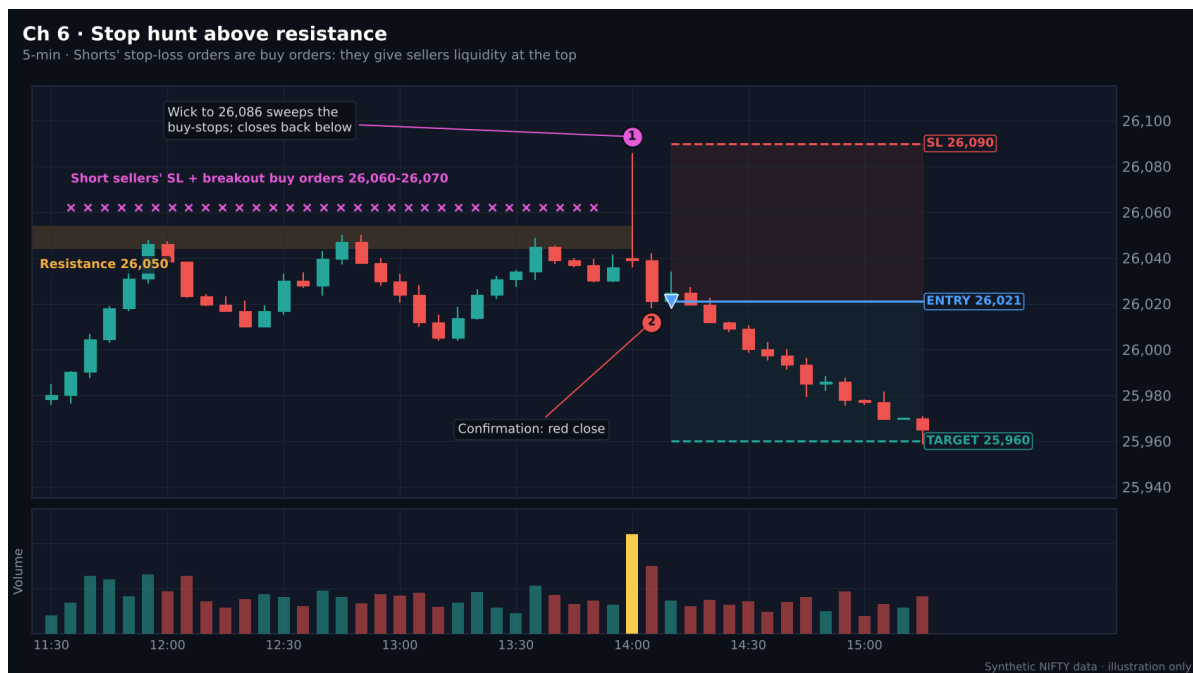


Stop hunt below 25,600: the 13:30 wick to 25,563 on the session's highest volume fills stops at 25,580-25,590, then NIFTY closes back above support and rallies to 25,700.

(d) NIFTY example

From 11:00 to 13:25 NIFTY tests 25,600 three times. At 13:30 one candle drops to 25,563 and closes at 25,611 with 4x normal volume. Every retail stop at 25,580-25,590 has been filled. The next candle closes at 25,629, and long entries trigger at 25,628 with SL 25,558. NIFTY reaches 25,700 by 14:50.

For option sellers: this is when to sell the 25,500 PE, after the sweep, at its highest premium and with the trap already sprung. Never before.



Mirror image above 26,050: a wick to 26,086 sweeps buy-stops and breakout orders; the red confirmation candle leads to 25,960.

(e) Rule-based entry, stop-loss and target

Entry	Long 25,628 above the reclaim candle (or sell 25,500 PE / bull put spread)
Stop-loss	25,558, 5 points below the hunt wick
Target	T1 25,700 ($\approx 1:1$), book half; trail the rest under 5-min higher lows
Filter	Wick $\geq 2x$ body, volume $\geq 2x$ average, close back above the level
Above resistance	Short 26,021, SL 26,090, T1 25,960

RULE

Your stop goes beyond where the hunt is likely to reach: below the level by at least the average 5-min range (15-25 NIFTY points), or use a smaller size so a wider stop still risks only 1%.

(f) Common mistakes

- ✗ Stops 5 points below a triple-touched level, in the hunting zone.
- ✗ Re-entering short after being stopped out, right at the bottom of the hunt.
- ✗ Reading a slow grind through the level as a 'hunt'. Without a fast reclaim it is a breakdown.

RETAIL MISTAKE

Getting stopped out at 25,585, reversing to short 'because support broke', and being stopped again at 25,640. Two losses on one move.

(g) Summary

SUMMARY: 3 THINGS TO REMEMBER

1. Stops cluster just beyond obvious levels; that is where hunts go.
2. A hunt = long wick + volume spike + close back inside the level.
3. Trade the reclaim with SL beyond the wick; sellers sell premium after the hunt.

PART 2 · RETAIL TRAPS

07 Gap Traps at the Open

The gap is news. The first 15 minutes are the truth.

(a) The concept

Gaps happen when overnight news (US markets, GIFT Nifty, results, global events) moves the opening price far from yesterday's close. A **gap-up trap** is a gap that is sold from the open and fills back to the previous close (PDC). A **gap-down trap** is a gap that is bought from the open and fills upward.

GURUJI SAYS

Gap-up pe khushi, gap-down pe dar: joy on gap-ups, fear on gap-downs. Operators trade the emotion, not the gap.

(b) Why it works: the psychology

Institutions with long positions love a gap-up: it lets them sell at prices retail is happy to pay. Retail buys the first candle because the news is good and 'it'll run'. If the first 15-minute low breaks, every opening buyer is trapped, and their stops plus the sellers drive the gap-fill toward PDC. Since Dec 2025 NSE runs a 09:00-09:15 pre-open session for futures too, so opening prices are discovered by auction. That makes the first 15 minutes after the open even more about absorbing that auction's orders.

(c) Annotated charts



Gap-up trap: PDC 25,700, open 25,838 (+138), first 15-min high 25,871. The 09:40 break of the opening low triggers a fill back to 25,705.

(d) NIFTY example

Gap-up. NIFTY opens at 25,838, 138 points above PDC 25,700, on strong US data. The first 15 minutes make 25,834-25,871. By 09:40 a 5-min candle has closed at 25,830, below the opening low. Short entry 25,830, SL 25,875 above the opening high. By 12:30 the gap has filled to 25,705.

Gap-down. NIFTY opens 132 points down at 25,628 and prints 25,596 in the first 10 minutes. The opening range is 25,596-25,632. At 09:30 price closes above 25,632: shorts are trapped. Long 25,638, SL 25,594, target PDC 25,755.



Gap-down trap: PDC 25,760, open 25,628 (-132). Panic sellers at 25,596 are trapped when the 15-min high 25,632 breaks; the gap fills to 25,755.

(e) Rule-based entry, stop-loss and target

Entry	Break of the first 15-min range against the gap (short 25,830 / long 25,638)
Stop-loss	Other side of the opening 15-min range + buffer (25,875 / 25,594)
Target	PDC: gap fill (25,705 / 25,755); R:R $\approx$ 1:2.7
Filter	Gap 0.4-1% (100-250 pts); no big follow-through after 09:30; not on a trend-day news shock
Skip	Gaps > 1.2% on major news (war, election, policy surprise) can run all day

RULE

Don't trade the first 15 minutes after a gap. Mark the opening range, then trade the break, preferably the break against the gap.

(f) Common mistakes

- ✗ Buying CE at 09:16 because 'GIFT Nifty is up 150'.
- ✗ Selling far OTM puts on a gap-up open: the premium is high for a reason, and IV collapses only after the trap resolves.
- ✗ Fading every gap. Gaps that hold the first 15-min range often become trend days.

RETAIL MISTAKE

Buying at 25,866 in the first five minutes with no stop, then averaging down at 25,820 and 25,780 as the gap fills.

(g) Summary

SUMMARY: 3 THINGS TO REMEMBER

1. The gap is the setup; the first 15-minute range is the information.
2. A break of the opening range against the gap targets PDC.
3. Big-news gaps can trend; size down or wait.

PART 2 · RETAIL TRAPS

08 The Opening-Range (09:15-09:30) Trap

The first breakout of the day grabs liquidity. The second one has intent.

(a) The concept

The **opening range (OR)** is the high and low of the first 15 minutes. The classic 'opening-range breakout' (ORB) buys above the OR high and sells below the OR low. Because thousands of traders run this exact strategy, the first break is often a **liquidity grab** that reverses through the opposite side.

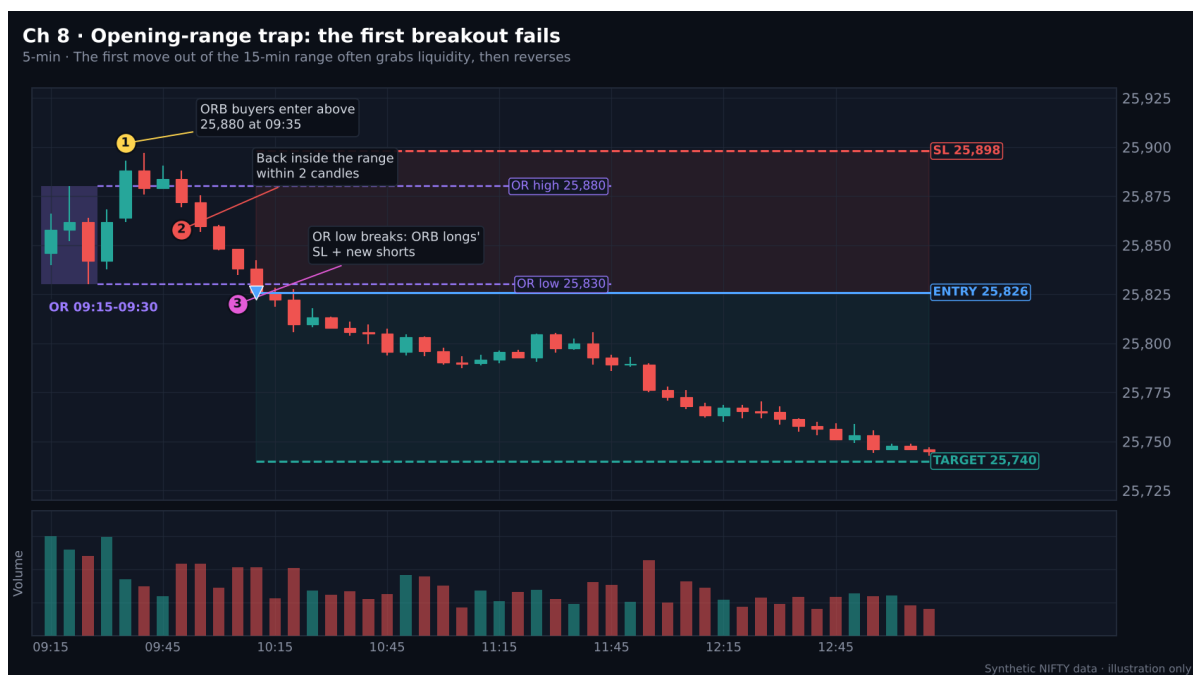
GURUJI SAYS

If a strategy is taught free on YouTube with 2 million views, the market will find a way to make it fail 6 times out of 10.

(b) Why it works: the psychology

ORB buy-stop orders sit just above the OR high, and their stops sit just below the OR low. A desk that wants to sell pushes price above the OR high to fill its shorts against those breakout buyers. When price falls back into the range, ORB longs panic, and when the OR low breaks their stops add to the fall. The genuine breakout looks different: strong volume and a successful retest of the broken level.

(c) Annotated charts



OR 25,830-25,880. The 09:35 break to 25,897 fails within two candles; the OR low breaks at 10:05 and NIFTY falls to 25,745.

(d) NIFTY example

Trap. The OR is 25,830-25,880. At 09:35 NIFTY prints 25,893 and ORB longs buy. By 09:50 it is back at 25,858, inside the range. At 10:05 a candle closes at 25,826, below the OR low. Short 25,826, SL 25,898 above the trap high, target 25,740. Done by 13:00.

Genuine. Same OR. At 09:40 the breakout candle has twice normal volume. The pullback at 10:00 holds 25,877, just above 25,880, and the next candle closes up. Long 25,888 on the retest, SL 25,866, target 25,954 (3R).



Contrast: the genuine breakout has 2x volume and the 10:00 retest holds above 25,880; NIFTY trends to 25,985.

(e) Rule-based entry, stop-loss and target

Entry (trap)	Short on a close below the OR low after a failed OR-high break: 25,826
Stop-loss	25,898, above the failed breakout high
Target	25,740 ($\approx 1:1.2$); trail toward PDL
Entry (genuine)	Long on retest of OR high that holds: 25,888, SL 25,866, T 25,954 (1:3)
Filter	Breakout volume vs OR volume; time back inside the range ≤ 3 candles = trap

RULE

Never enter on the first break of the opening range. Enter either on a retest that holds, or on the failure through the opposite side.

(f) Common mistakes

- ✗ Buy-stop orders placed before the open just above the OR high.
- ✗ Using the OR low as your stop for an ORB long: everyone's stop is there.
- ✗ Trading the OR on expiry days, when the opening range is often just writers repositioning.

RETAIL MISTAKE

Selling 25,800 PE at 09:35 'because ORB is up', then watching it double by 10:30.

(g) Summary

SUMMARY: 3 THINGS TO REMEMBER

1. The first OR break is often a liquidity grab.
2. Real breakouts have volume and a retest that holds.
3. Trade the retest or the failure, never the first spike.

PART 2 · RETAIL TRAPS

09 Round-Number and Max-Pain Traps Near Expiry

On expiry day, price gravitates to where the writers make the most money.

(a) The concept

Max pain is the strike at which option buyers, in total, lose the most money at expiry, which means writers keep the most premium. Strikes with the biggest open interest (OI walls) at round numbers act as magnets on expiry day: breakouts away from them often fail, and price is 'pinned' near the strike into the close.

Since Sep 2025, NIFTY's weekly expiry is on **Tuesday**. One lot is **65** units (from the Jan 2026 series).

GURUJI SAYS

Max pain is not a law. It's a tendency in quiet markets. On a news day, max pain is just a number on a website.

(b) Why it works: the psychology

Writers with large short positions at 26,000 CE and 26,000 PE delta-hedge with futures. If NIFTY rises above 26,000, their short calls lose and they sell futures to hedge, which pushes price down. Below 26,000 the short puts lose and they buy futures, which pushes price up. This hedging flow acts like a spring pulling price back to the strike. Buyers of 26,050 CE or 26,000 PE in the afternoon are paying for a move the hedging flow is actively fighting.

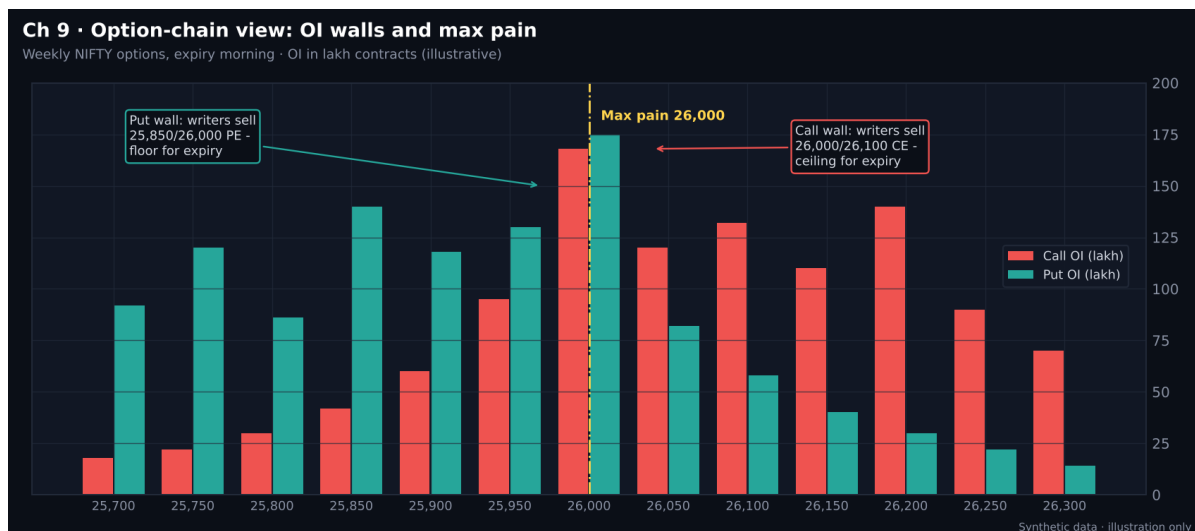
(c) Annotated charts



Expiry Tuesday: 26,000 is max pain with the highest CE and PE OI. The 13:05 breakout and 14:15 breakdown both fail; close 26,004.

(d) NIFTY example

Expiry morning, the option chain shows 168 lakh call OI and 175 lakh put OI at 26,000, the biggest on the board. NIFTY spends the day within $26,000 \pm 35$. At 13:05 it pokes 26,036, and buyers of 26,050 CE at ₹12 lose it all. At 14:15 it drops to 25,966, and buyers of 26,000 PE at ₹28 lose most of it. Close: 26,004.



Option-chain view: call wall at 26,000-26,200, put wall at 25,850-26,000, max pain at 26,000.

(e) Rule-based entry, stop-loss and target

Entry	Fade a 30-40 pt excursion from the pin strike only after a 5-min close back toward it (e.g. short 26,010 after the 13:10 rejection)
Stop-loss	15-min close beyond the excursion extreme (26,040)
Target	The pin strike $\pm$ 10 (25,995-26,005)
Seller version	Iron fly / short straddle at the pin only with hedges, small size, exit by 14:45
Skip	When VIX is rising, OI is shifting fast, or there is news in the afternoon

RULE

On expiry afternoons, never buy OTM options for a 'breakout' away from a heavy-OI strike. If you sell, always hedge, and still be flat by 14:45.

(f) Common mistakes

- ✗ Treating max pain as a guaranteed closing price.
- ✗ Selling naked straddles at the pin strike and holding into the last hour (see Chapter 10).
- ✗ Ignoring OI changes during the day: when the wall shifts, the magnet moves.

RETAIL MISTAKE

Buying ₹5 'lottery' calls at 14:30 on expiry because 'it only needs 50 points'.

(g) Summary

SUMMARY: 3 THINGS TO REMEMBER

1. Heavy-OI round strikes act as expiry magnets via writers' hedging.
2. Fade small excursions from the pin; don't buy breakouts away from it.
3. Max pain fails on news days; always respect your stop and the 14:45 cutoff.

PART 2 · RETAIL TRAPS

10 Expiry-Day Gamma Spikes

Why a ₹30 premium can become ₹80 in the last hour.

(a) The concept

Gamma measures how fast an option's delta changes when spot moves. Far from expiry, gamma is small and premiums move smoothly. In the last hours of expiry day, gamma for near-the-money strikes becomes huge: delta can jump from 0.1 to 0.9 within ~60 NIFTY points. A short option that looked 'safe' at ₹30 can become ₹80 on a 100-point move.

GURUJI SAYS

Option selling se paisa banta hai, lekin expiry ke last ghante mein option selling se account bhi jaata hai. You earn in theta, you lose in gamma. Know which one owns the clock.

(b) Why it works: the psychology

On expiry day, time value is nearly gone, so the option price is almost just its intrinsic value. Near the strike, a few points of spot decide whether the option is worth zero or worth everything above the strike. That is the 'kink' in the payoff curve. Short-covering into the close (writers buying back, desks squaring hedges) creates exactly the late moves that exploit this kink. SEBI also adds a 2% extreme loss margin on short index options on expiry day, so naked sellers face margin pressure at the worst moment.

(c) Annotated charts

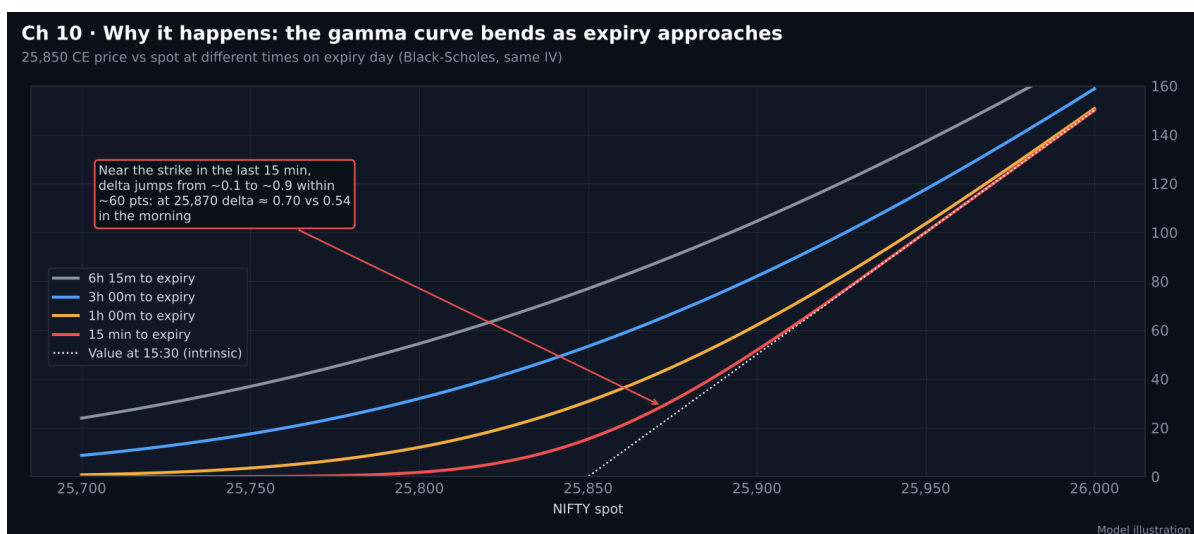


The trade from your journal: sell 25,850 CE at 51 at 10:40; it decays to 30 by 13:05; a 100-point short-covering rally from 14:00 takes it to 79 by 15:15. The 14:45 cutoff exit was ~54.

(d) NIFTY example

At 10:40, with spot at 25,815, you sell the 25,850 CE at ₹51 (5 lots, 325 qty). By 13:05 theta has taken it to ₹30: 41% of the premium captured, +₹6,825 open profit. From 14:00 NIFTY rallies 100 points to 25,925. Because the option is now in the money with almost no time left, it moves ₹7-9 for every 10 points of spot. At 15:15 it is ₹79: a loss of 28 points × 325 = -₹9,100.

Same trade with rules: trail the SL to ~40 at 13:05 (lock half the open profit). The trail is hit around 14:20, for a **profit** of about ₹3,900 on 5 lots (11.9 pts × 325). Even without a trail, the 14:45 hard exit at ~54 would have limited the loss to about ₹1,000.



The gamma curve: the same option's price vs spot at 6h, 3h, 1h and 15 min to expiry. The curve bends into a kink at the strike.

(e) Rule-based entry, stop-loss and target

Entry	Sell OTM premium only before 13:30 on expiry day, beyond the swept liquidity (Ch 23)
Stop-loss	Initial SL at premium +30%; once 40% decayed, trail to lock half the open profit
Target	60-70% of premium captured, or the 14:45 cutoff, whichever first
Hard rule	All shorts flat by 14:45 on expiry day. No new shorts after 14:00
Size	Expiry-day size ≤ half your normal size because of gamma + extra 2% ELM

RULE

Expiry-day exit cutoff 14:45. It is not a guideline. Put a phone alarm at 14:40.

(f) Common mistakes

- ✗ 'It's only ₹30, it will expire worthless': near the strike, ₹30 is a loaded gun.
- ✗ Holding through the last hour to save the final ₹5-10 of premium (risking ₹30-50 to make ₹5).
- ✗ Averaging up shorts as premium rises in the last hour.

RETAIL MISTAKE

Short at 51, saw 30, did nothing, exited at 70+ in panic. That is the exact pattern the chart shows, and it is 100% a rules problem, not an analysis problem.

(g) Summary

SUMMARY: 3 THINGS TO REMEMBER

- Gamma explodes near the strike in the last hours of expiry.
- Small spot moves become huge premium moves: ₹30 → ₹80 is normal, not rare.
- Trail after 40% decay and be flat by 14:45: every expiry, no exceptions.

PART 2 • RETAIL TRAPS

11 The Buyer's Trap (Theta) and the Seller's Trap (Gamma)

Buyers bleed slowly. Sellers die suddenly.

(a) The concept

Options are a trade-off between time and movement. **Option buyers** pay time value and need a big move soon. Every flat hour costs them theta. **Option sellers** collect that time value but carry **gamma risk**: in a big move their losses accelerate. Each side has a trap built in.

GURUJI SAYS

Buyer sochta hai jackpot, seller sochta hai salary. The market gives the buyer a slow leak and the seller a sudden heart attack. Choose your disease, then manage it.

(b) Why it works: the psychology

Buyer's trap: an ATM option's value is mostly time value. If spot ranges for three days, that value melts, even though 'NIFTY didn't go against me'. A buyer needs direction, magnitude *and* timing.

Seller's trap: a short strangle wins on quiet days. On a trend day, the threatened side's premium rises faster and faster (gamma), while the other side can only fall to zero. One trend day can erase weeks of collected premium.

(c) Annotated charts

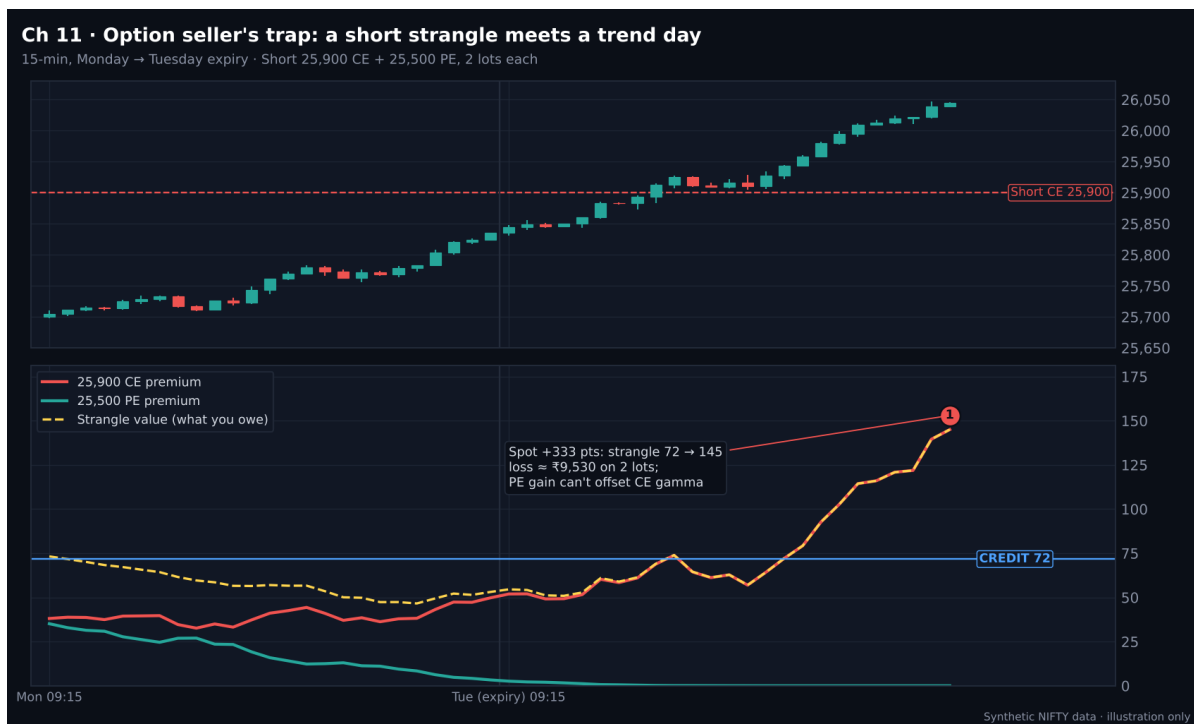


Buyer's trap: 25,750 CE bought at 128 on Friday; spot stays in 25,725-25,790; by Tuesday 14:45 the call is 23 (-82%).

(d) NIFTY example

Buyer. Friday 09:30, a trader buys the 25,750 CE at ₹128 (₹8,347 per lot) expecting a rally. NIFTY chops between 25,725 and 25,790 through Monday. Tuesday morning the call is ₹73; by 14:45 it is ₹23. Direction was not wrong; time ran out.

Seller. Monday 09:30, a trader sells the 25,900 CE and 25,500 PE, 2 lots each, for ₹72 total. NIFTY trends 333 points up into Tuesday. The CE goes from about 38 to 145; the PE falls from 34 to near zero. The strangle is worth ₹145, a loss of about ₹9,500 on 2 lots. The PE side could never offset the CE.



Seller's trap: short 25,900 CE + 25,500 PE for 72 credit on Monday; a 333-point trend takes the strangle to 145.

(e) Rule-based entry, stop-loss and target

Buyer rule	Buy only on a trigger with momentum (e.g. setup 2 or 3), DTE ≥ 2, exit in 30-60 min
Buyer SL	Premium -30% or the spot level that invalidates the setup, whichever first
Seller rule	Sell only defined-risk spreads; keep the threatened short strike beyond swept liquidity
Seller SL	Exit the threatened leg at 2x its premium, or on a 15-min close beyond structure
Seller target	50-70% of credit; never hold for the last 10%

RULE

Buyers manage time; sellers manage size and gamma. If you sell, every position has a hedge and a pre-defined maximum loss.

(f) Common mistakes

- ✗ Buyers: 'cheap' far-OTM options with low delta, held for days.
- ✗ Sellers: naked strangles 'because they win 80% of the time'. The other 20% is where accounts die.
- ✗ Sellers: rolling the losing side closer instead of exiting.

RETAIL MISTAKE

Switching from buying to selling after losses, then selling naked with 3x the size, which turns a slow leak into a blow-up.

(g) Summary

SUMMARY: 3 THINGS TO REMEMBER

1. Buyers pay theta; they need speed. Sellers earn theta; they risk gamma.
2. Trend days destroy short strangles; range days destroy option buyers.
3. Sell only with hedges and a fixed max loss; buy only with momentum and a time stop.

PART 2 · RETAIL TRAPS

12 News and Event Traps

The first move after the headline is usually the wrong one.

(a) The concept

Scheduled events (RBI policy, Union Budget, US CPI/Fed, big-bank and IT results, election results) produce whipsaws. Before the event, IV is high and volume dries up. At the headline, price spikes one way (often both ways within minutes), taking out both buyers' and sellers' stops. The real direction usually appears 15-30 minutes later.

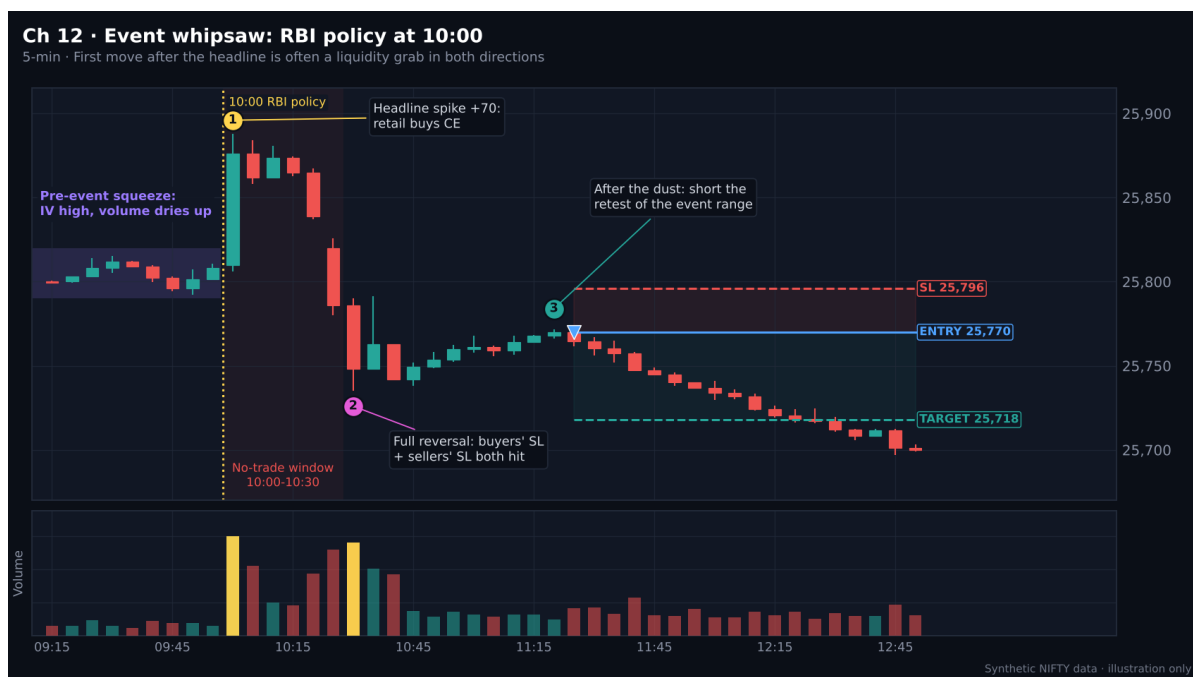
GURUJI SAYS

On event day, the first candle is for the algos, the second is for the fools, the third is for us.

(b) Why it works: the psychology

Before an event both sides place stops close to the range, so liquidity piles up above and below. Algos read the headline in microseconds and push price into one pool, then the other. Option IV, which was inflated, collapses after the event ('IV crush'), so buyers can be right on direction and still lose. Sellers who sold before the event get the IV crush but carry gap risk.

(c) Annotated charts



RBI policy at 10:00: +70 spike to 25,888, full reversal to 25,735 by 10:30, then a short on the retest of the event range.

(d) NIFTY example

RBI day. From 09:15 to 09:55 NIFTY sits in 25,796-25,815. At 10:00 the policy headline hits and one candle spikes to 25,888. Retail buys calls. By 10:30 NIFTY is at 25,735: buyers' stops at 25,800 and sellers' stops at 25,830 have both been hit. At 11:20 price retests the old range from below at 25,770 and fails. That's the trade: short 25,770, SL 25,796, target 25,718 (2R).



Budget day: the 11:00 speech brings -190, a second leg to ~25,365, then a +180 recovery. Both sides are stopped twice.

(e) Rule-based entry, stop-loss and target

No-trade window	15 min before to 30 min after the event
Entry	Retest of the pre-event range after the whipsaw (short 25,770)
Stop-loss	Back inside the pre-event range (25,796)
Target	Post-event extreme / next liquidity (25,718); R:R 1:2
Size	50% of normal; sellers use only hedged spreads, no naked shorts through events

RULE

Keep an event calendar on your desk: RBI, Fed, CPI, Budget, major results. On those days, cut size by half or don't trade the first hour after the event.

(f) Common mistakes

- ✗ Buying options before the event: you pay peak IV and get IV crush.
- ✗ Selling naked straddles the night before a Fed decision.
- ✗ Trading the first candle after the headline.

RETAIL MISTAKE

'RBI will cut rates, I'll buy CE at 09:55.' The rate cut happens, NIFTY spikes, and the CE still loses 30% from IV crush and the reversal.

(g) Summary

SUMMARY: 3 THINGS TO REMEMBER

1. Events create liquidity on both sides; the first move hunts it.
2. Wait 15-30 minutes, then trade the retest of the pre-event range.
3. Half size, hedged positions, and respect IV crush.

PART 2 · RETAIL TRAPS

13 Trendline and Pattern Traps

When the pattern is perfect, ask who drew it for you.

(a) The concept

Classic patterns (triangles, flags, head-and-shoulders, double tops/bottoms) and trendlines are watched by millions. Their textbook entry points and stops are therefore huge liquidity pools. The **first** breakout of a well-known pattern is often a fake that collects those orders before the real move, sometimes in the opposite direction.

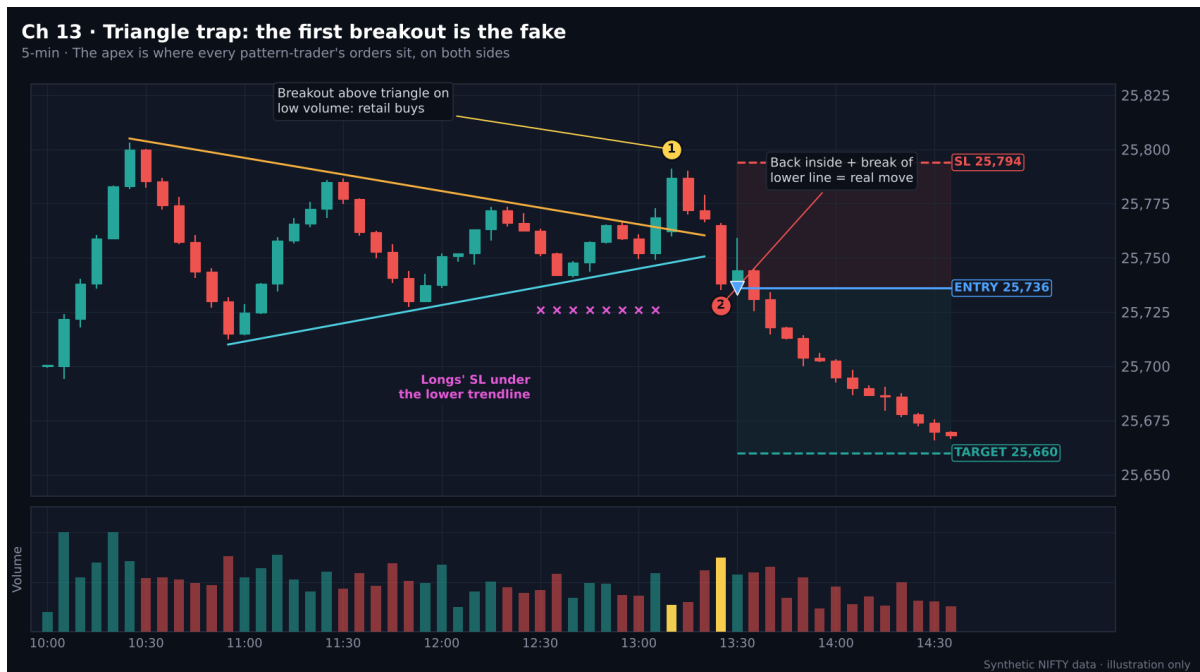
GURUJI SAYS

I've seen more money lost on 'perfect' double tops than on ugly charts. Ugly charts make people careful. Perfect ones make them greedy.

(b) Why it works: the psychology

In a symmetrical triangle, buyers' stops sit under the lower line and sellers' stops above the upper line. A fake break up fills sellers against breakout buyers; then a break down runs the longs' stops. In a double top, everyone shorts the neckline break with stops above the neckline. If price reclaims the neckline, those shorts must buy back, and the squeeze often runs through the tops.

(c) Annotated charts

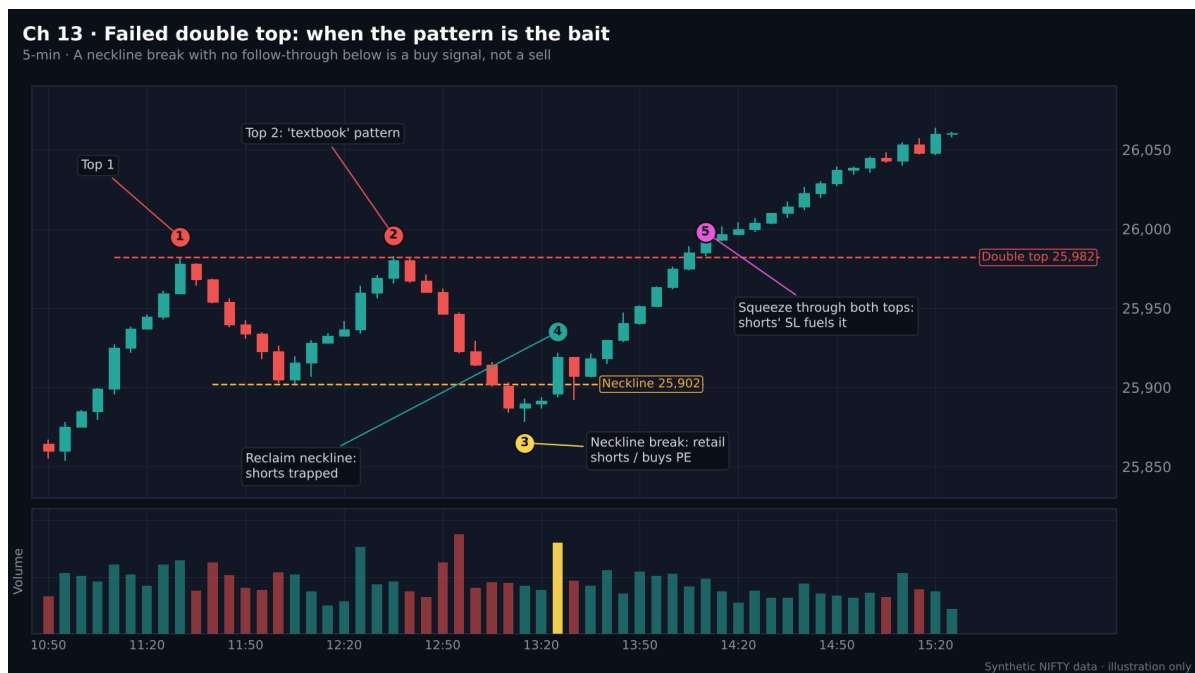


Triangle trap: the 13:10 breakout above the upper line on low volume fails; the break of the lower line on high volume is the real move to 25,660.

(d) NIFTY example

Triangle. From 10:00 to 13:05 NIFTY coils between a falling line from 25,805 and a rising line from 25,710. At 13:10 it breaks up to 25,791 on below-average volume. Two candles later it is back inside, and at 13:25 it breaks the lower line with 3x volume. Short 25,736, SL 25,794, target 25,660.

Double top. Tops at 25,982 (11:30 and 12:35), neckline 25,902. At 13:10 a candle closes at 25,887 and pattern traders short. At 13:25 a strong candle closes at 25,919, back above the neckline. Long 25,919, SL 25,876, target 25,982 then 26,040. NIFTY runs to 26,060.



Failed double top: tops at 25,982; neckline 25,902 breaks to 25,878; the reclaim traps shorts and squeezes to 26,060.

(e) Rule-based entry, stop-loss and target

Entry (triangle)	After the first break fails: short 25,736 on the opposite-side break with volume
Stop-loss	25,794, above the fake breakout high
Target	Pattern height projected: 25,660 ($\approx 1:1.3$)
Entry (failed DT)	Long 25,919 on reclaim of neckline; SL 25,876; T1 25,982 (1:1.5), T2 26,040
Filter	Volume: fake breaks are quiet, real breaks are loud

RULE

Don't trade the first break of a famous pattern. Trade the second break, or the failure of the first.

(f) Common mistakes

- ✗ Drawing trendlines through candle bodies to make the pattern 'fit'.
- ✗ Placing stops just beyond the trendline, the most crowded place on the chart.
- ✗ Trading pattern targets from textbooks without checking where the liquidity actually is.

RETAIL MISTAKE

Shorting the neckline break of a double top with a ₹200 stop above the neckline. A failed pattern squeezes 150 points in 30 minutes.

(g) Summary

SUMMARY: 3 THINGS TO REMEMBER

1. Famous patterns are liquidity maps for operators.
2. The first break is often fake, so watch the volume.
3. Trade the failure or the confirmed second break, with SL beyond the fake extreme.

PART 2 · RETAIL TRAPS

14 The 20-Point Overshoot Trap at Round Numbers

The level breaks by just enough to pull you in, and no further.

(a) The concept

NIFTY's hundred-levels (22,600, 22,700, 26,000) are where retail traders put breakout orders and stop-losses. In the **overshoot trap**, price pushes about **15-25 points** through the round number, far enough to trigger the breakout entries and the stops on the other side, then closes back through the level and runs **100-120 points** the other way.

It works in both directions. A poke **above** a round number that fails is a bull trap (short it). A flush **below** a round number that is reclaimed is a bear trap (buy it). The trap is strongest when the round number lines up with another level: the day's pivot, PDH/PDL, or a supply or demand zone.

GURUJI SAYS

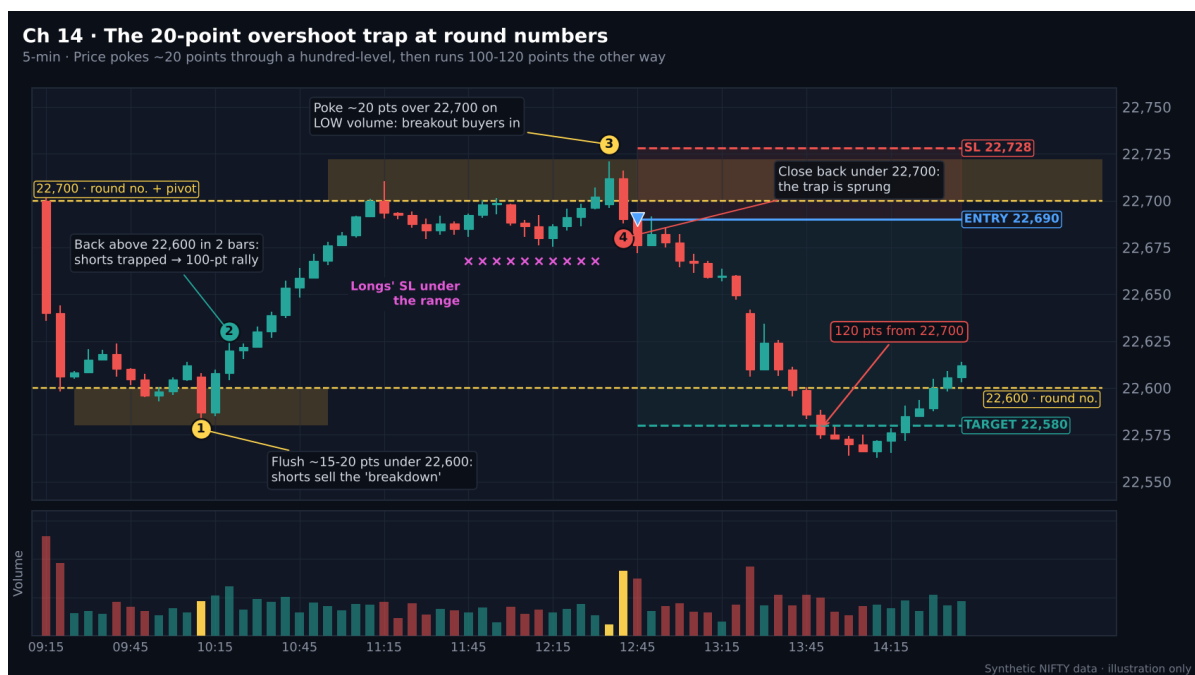
Beta, the operator doesn't need 100 points to trap you. Twenty is enough. Twenty points over 22,700 makes the breakout buyer feel clever and fills the short-seller's stop. Then the real order comes.

(b) Why it works: the psychology

A round number collects two crowds: breakout traders with buy-stop orders just above it, and short sellers with stop-losses just above it. Both are buy orders. A large seller can't sell size into an empty market, so he waits for that cluster of buying, or nudges price into it, and sells into it. Once those orders are used up there is no buying left above the level. Price falls back under it, the new breakout longs become trapped sellers, and their stop-losses below the range drive the next 100 points.

Twenty points is about the distance most intraday traders use for a breakout 'buffer' and their stop, so it reaches both crowds without needing the bigger move a genuine breakout would make.

(c) Annotated charts



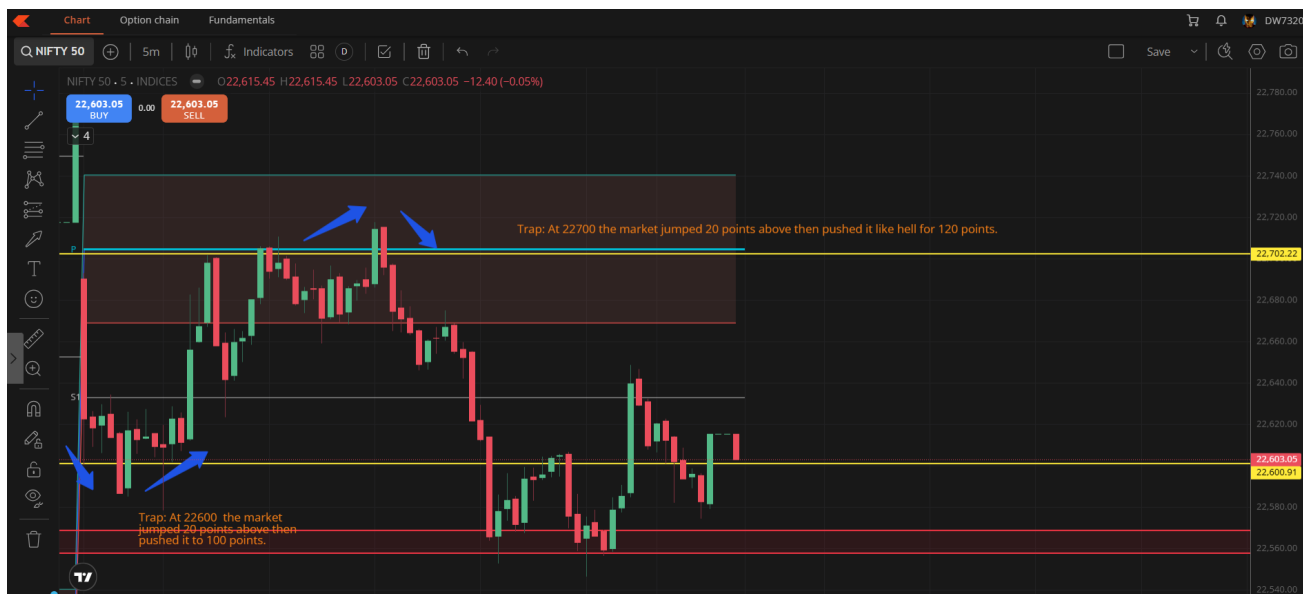
Synthetic replay: a flush under 22,600 is reclaimed in two bars and rallies 100 points; a low-volume poke to 22,721 closes back under 22,700 and falls 120 points to 22,580.

(d) NIFTY example

From the reader's chart (NIFTY, 5-min). After a sharp opening drop, NIFTY chops between 22,588 and 22,625, dipping under 22,600 more than once. Traders who sell the 'breakdown' are caught when price holds and lifts away: it rallies about 100 points to 22,700.

22,700 is also the day's pivot (about 22,705) and the bottom of a supply zone. NIFTY spends more than an hour under it, then one candle pokes to about 22,718: roughly 20 points over the level. The next candles close back below 22,700, and the slide does not stop until about 22,580, roughly 120 points from the level, with a low near 22,555 at the demand zone before a bounce.

The rule-based short: sell on the first 5-min close back under 22,700 (about 22,690), stop-loss 22,728 (above the poke high plus a 10-point buffer), first target 22,614 (2R, 76 points), final target 22,580 or the next round number. Risk 38 points to make up to 110 (about 2.9R).



The reader's own NIFTY 5-min chart with their notes. At 22,600 price shook out around the level, then pushed 100 points up; at 22,700 (also the pivot) it poked about 20 points above, then fell about 120 points.

(e) Rule-based entry, stop-loss and target

Set-up	Price grinds into a round number that is also a pivot / PDH / PDL or zone, and stalls
Trigger	A poke 15-25 pts through the level on normal or LOW volume, then a 5-min close back inside within 1-3 candles
Entry	On that close (short 22,690 in the example); for a bear trap, buy the close back above
Stop-loss	Beyond the poke extreme + 10 pts (22,728). Never inside the overshoot band
Target	T1 = 2R; T2 = 100-120 pts or the next round number / zone, whichever comes first
Invalidation	Two 5-min closes beyond the poke extreme, or a poke on 2x volume = real breakout
Skip	News in the next 30 min, the first 15 minutes of the day, or after 14:30 on expiry day

RULE

Don't buy a round-number breakout until a 5-min candle closes beyond it AND the next candle holds. If the level breaks by 20 points and closes back inside, that is your signal to trade the other way.

(f) Common mistakes

- ✗ Buying the first candle through 22,700 because 'the resistance is broken'.
- ✗ Putting the stop-loss exactly 20 points past the round number, which is where this trap reaches.
- ✗ Fading every round number: it only works when price stalls there and the poke is quiet. A loud, high-volume break that holds is a real breakout.
- ✗ Taking the trade before the candle closes back through the level, i.e. guessing the trap.

RETAIL MISTAKE

Buying 22,700 CE at the 22,718 poke because 'it finally broke out', then averaging down all the way to 22,600.

(g) Summary**SUMMARY: 3 THINGS TO REMEMBER**

1. Round numbers attract breakout orders and stops; a 15-25 point poke collects both.
2. Enter only after a 5-min close back through the level; SL beyond the poke + 10.
3. Target 2R, then 100-120 points; a high-volume poke that holds is a real breakout.

PART 3 · SMART-MONEY PRICE ACTION

15 Supply and Demand Zones / Order Blocks

Where institutions bought before, they defend again.

(a) The concept

A **demand zone** is a small price area (a 'base' of a few quiet candles) from which price launched explosively upward. The **order block (OB)** is the last opposite-colour candle before that launch: the last red candle before a big rally, or the last green candle before a big fall (supply). When price returns to the zone, it often reacts strongly.

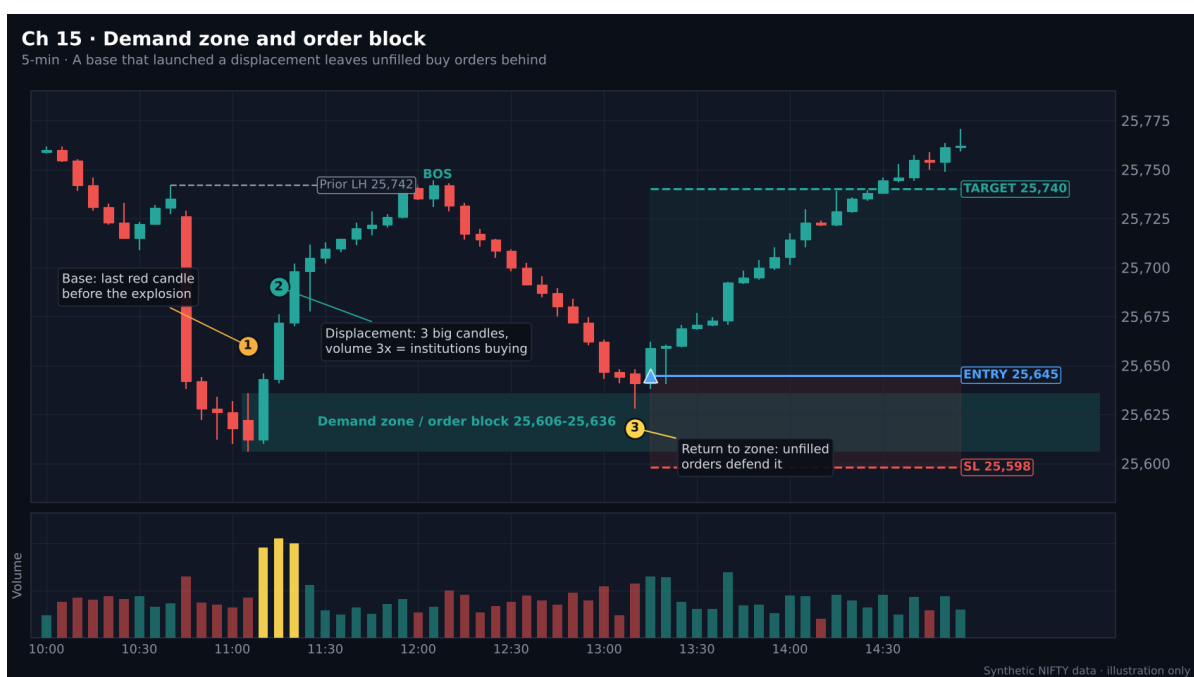
GURUJI SAYS

A base is where the big boy was still buying when the rocket left. He couldn't fill everything. When price comes back, his remaining orders are still waiting.

(b) Why it works: the psychology

Large orders are filled in pieces. The displacement (big candles, 2-3x volume) shows the buyer became aggressive, often before the full order was filled. Unfilled buy limits remain at the base. On the return, those orders absorb selling. Because the move away was fast, few retail traders bought there, so there is little overhead supply from trapped buyers.

(c) Annotated chart



Base at 25,606-25,636; the last red candle (OB) is followed by three displacement candles on 3x volume and a BOS above 25,742. The 13:10 return to the zone gives a 2R long.

(d) NIFTY example

NIFTY falls from 25,760 to a base at 25,606-25,636 by 11:05. The last red candle closes at 25,612. From 11:10 to 11:20 three green candles rip to 25,700 on 3x volume, and by 12:00 price breaks the prior lower high at 25,742 (BOS). In the afternoon NIFTY drifts back down and touches 25,628 at 13:10 with a hammer. Long 25,645, SL 25,598, target 25,740.

(e) Rule-based entry, stop-loss and target

Entry	Long 25,645 on the first bullish 5-min close inside/above the zone
Stop-loss	25,598, below the zone low 25,606 + buffer
Target	25,740, the prior high / BOS level ($\approx 1:2$)
Valid zone	Displacement $\geq 3x$ avg candle size, BOS after it, first return only (fresh zone)
Invalid	Zone already tested twice; return comes with expanding red volume

RULE

Only trade fresh zones (first return) that caused a break of structure. Every retest uses up orders; the third touch usually breaks.

(f) Common mistakes

- ✗ Marking every small consolidation as a 'zone'. It must have launched a displacement and a BOS.
- ✗ Buying the zone against higher-timeframe structure (a demand zone in a 15-min downtrend).
- ✗ Using zones that are 80 points thick; your SL becomes too wide for 1% risk.

RETAIL MISTAKE

Buying a 'support zone' for the fourth time because it worked three times. Each touch consumes the buyers, until there are none.

(g) Summary**SUMMARY: 3 THINGS TO REMEMBER**

1. Demand/supply zones are bases that launched displacement and BOS.
2. The OB is the last opposite candle before the move; the first return is the best.
3. SL beyond the zone; target the liquidity that the BOS created.

PART 3 · SMART-MONEY PRICE ACTION

16 Fair Value Gaps (Imbalances)

Price skipped a level. It usually comes back to check it.

(a) The concept

A **fair value gap (FVG)** is a three-candle pattern where candle 2 moves so fast that the high of candle 1 and the low of candle 3 don't overlap (for a bullish FVG). The gap between them is an area where only one side traded: an **imbalance**. Price often returns to fill part of it (often to its 50% level) before continuing.

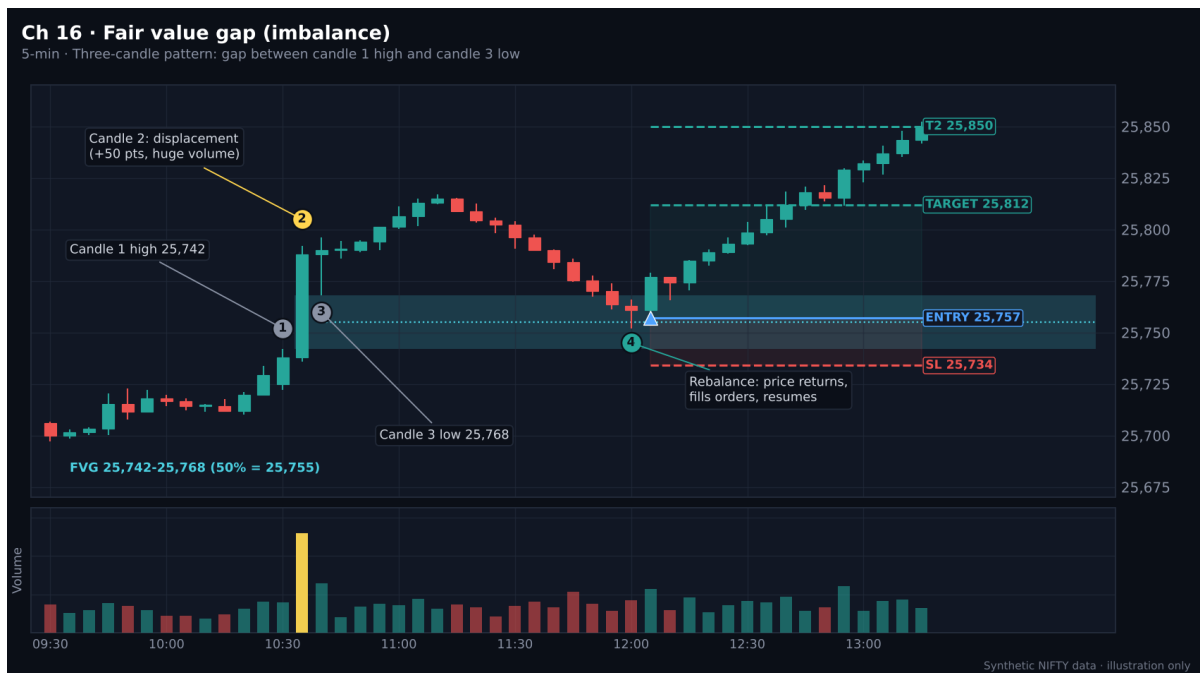
GURUJI SAYS

FVG is just a modern name for an old floor saying: 'Jahan market jaldi mein gaya, wahan wapas aayega.' Where the market went in a hurry, it comes back.

(b) Why it works: the psychology

During the displacement candle, aggressive buyers lifted every offer. Some passive sellers never got filled, and some buyers missed the move. On the pullback, those late buyers and the original institution add at better prices inside the gap. That is why the reaction is often sharp at the FVG's midpoint.

(c) Annotated chart



10:35 displacement creates an FVG 25,742-25,768. The 12:00 pullback taps 25,752 (inside the gap) and NIFTY continues to 25,812, then 25,850.

(d) NIFTY example

Candle 1 (10:30) high 25,742. Candle 2 (10:35) rockets +50 points on the session's largest volume. Candle 3 (10:40) low 25,768. FVG = 25,742-25,768, midpoint 25,755. NIFTY tops at 25,815 by 11:10, then pulls back for 50 minutes. At 12:00 a candle wicks to 25,752 and closes 25,761; the next candle closes 25,777. Long 25,757, SL 25,734 (below the FVG), T1 25,812, T2 25,850.

(e) Rule-based entry, stop-loss and target

Entry	Long at the FVG midpoint 25,757 with a bullish 5-min close, or limit at 50% of the gap
Stop-loss	25,734, below the FVG low (candle 1 high) + buffer
Target	T1 25,812 previous high ($\approx 1:2.4$), T2 25,850 ($\approx 1:4$)
Filter	FVG must be created by a displacement that broke structure; trade in trend direction
Invalid	A 5-min close below the FVG low: the imbalance has been fully filled and failed

RULE

An FVG is a location, not a signal. Combine it with structure (trend direction) and a confirmation candle before entering.

(f) Common mistakes

- ✗ Trading every tiny 3-point gap on the 1-min chart.
- ✗ Entering at the top of the FVG with the SL inside it, which almost always gets hit.
- ✗ Taking FVG longs in a 15-min downtrend.

RETAIL MISTAKE

Chasing the displacement candle at 25,790 instead of waiting for the pullback into the gap at 25,757, which doubles the stop distance and halves the R:R.

(g) Summary**SUMMARY: 3 THINGS TO REMEMBER**

1. FVG = gap between candle 1 and candle 3 after a displacement.
2. Price often returns to its 50% level before continuing.
3. Use it in trend direction, SL beyond the gap, with a confirmation candle.

PART 3 · SMART-MONEY PRICE ACTION

17

Wyckoff Accumulation and Distribution

Big players need a range to build a position. Learn to read the range.

(a) The concept

Richard Wyckoff described how large operators **accumulate** (buy) in a trading range after a fall and **distribute** (sell) in a range after a rise. Accumulation phases: **A** stopping the fall (selling climax SC, automatic rally AR, secondary test ST); **B** building the position inside the range; **C** the **spring**, a false break below the range that shakes out the last sellers; **D** sign of strength (SOS) and last point of support (LPS); **E** markup. Distribution is the mirror image, with an **upthrust** instead of a spring.

GURUJI SAYS

The spring is the operator's final exam for retail: 'Will you sell at the lowest price of the day?' Most people pass the exam by failing it.

(b) Why it works: the psychology

An operator can't buy 10,000 lots in one candle. He buys slowly inside a range, letting retail sell to him. The spring triggers every stop below the range, which is the cheapest supply he will ever get. The low-volume 'test' after the spring shows no sellers are left. Then the SOS breaks the range high and markup begins. The same logic works on intraday charts, especially 5-min ranges of 2-3 hours.

(c) Annotated chart



(d) NIFTY example

NIFTY falls 170 points to a selling climax at 25,630 (10:05) on the day's biggest volume. The automatic rally reaches 25,700. For three hours it ranges 25,645-25,700 with shrinking volume. At 13:10 a spring wicks to 25,622, below the SC low, and closes back inside at 25,647. At 13:35 the test holds 25,652 on very low volume. Long 25,664, SL 25,618, target 25,755 (range height of 55 projected above 25,700). The SOS at 13:55 confirms it.

Distribution (mirror): after a rally, an upthrust above the range high on weak follow-through, a failed retest, then a sign of weakness below the range low. Short the last point of supply.

(e) Rule-based entry, stop-loss and target

Entry	Long 25,664 after the low-volume test of the spring (or on the LPS after SOS)
Stop-loss	25,618, below the spring low
Target	25,755: range height projected from the range high ($\approx 1:2$)
Confirm	Spring volume < SC volume; test volume lowest of the range; SOS on rising volume
Distribution	Short after upthrust + failed test; SL above upthrust; target range low projection

RULE

Never trade inside Phase B. The edge is at the edges: the spring/upthrust (C) and the LPS/LPSY (D).

(f) Common mistakes

- ✗ Labelling every range as accumulation. In a downtrend most ranges are re-distribution.
- ✗ Buying the spring candle itself instead of waiting for the test.
- ✗ Ignoring volume. Wyckoff without volume is just guessing.

RETAIL MISTAKE

Shorting the 13:10 breakdown below 25,645 'because the range broke', which is the exact sell order the operator needed to complete his buying.

(g) Summary**SUMMARY: 3 THINGS TO REMEMBER**

1. Ranges after trends are where operators build positions.
2. The spring/upthrust is a false break that collects the last stops.
3. Enter on the low-volume test or LPS; SL beyond the spring; target the range projection.

PART 3 · SMART-MONEY PRICE ACTION

18

Volume and Open Interest Confirmation

Price shows what happened. OI shows who did it.

(a) The concept

Open interest (OI) is the number of open futures/options contracts. Reading the **change in OI with price** tells you whether new positions are being built or old ones closed:

- Price ↑ + OI ↑ = **long build-up** (fresh buying, strong).
- Price ↑ + OI ↓ = **short covering** (shorts exiting, rally can fade).
- Price ↓ + OI ↑ = **short build-up** (fresh selling, strong).
- Price ↓ + OI ↓ = **long unwinding** (longs exiting, fall can fade).

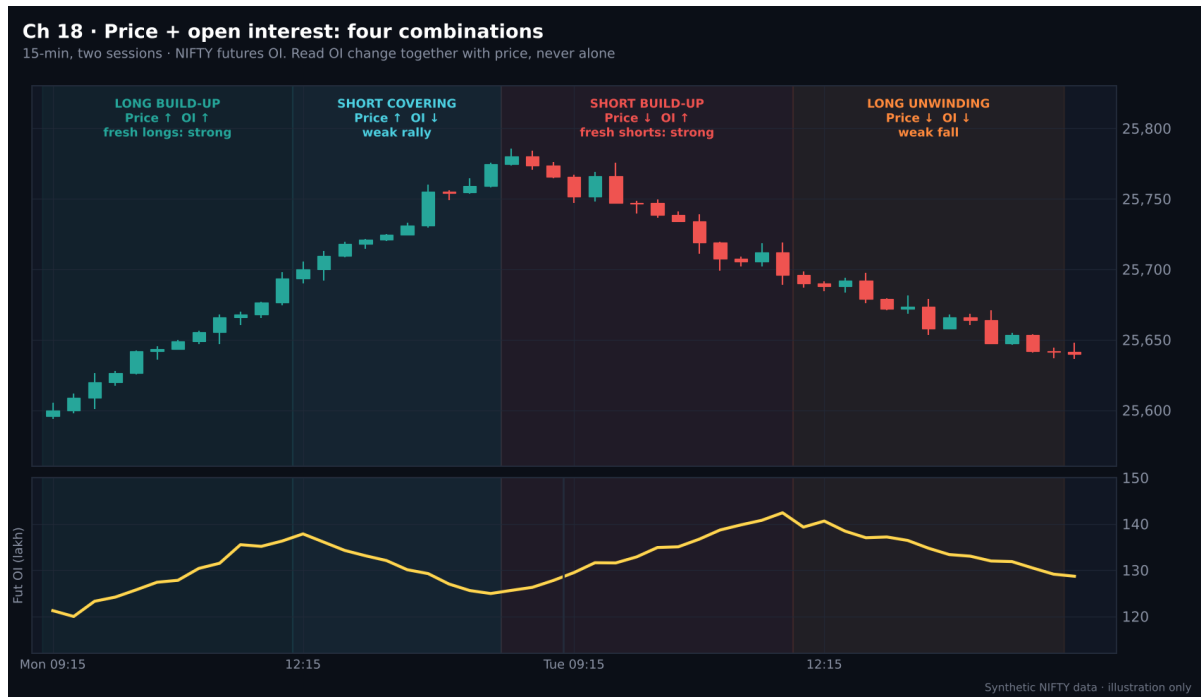
In options, **writer positioning** shows where the walls are: the strike with the highest call OI acts as resistance, the highest put OI as support. **PCR** (put-call ratio of OI) gives a crude sentiment read: above ~1.2 often means heavy put writing (support), below ~0.7 heavy call writing (resistance). Use it for context, never as a trigger.

GURUJI SAYS

Volume is the noise in the hall. OI is the number of people who stayed seated. A loud rally where everyone leaves is a party ending, not starting.

(b) Why it works: the psychology

A rally driven by short covering runs out of fuel when the shorts are done; nobody new committed money. A rally with rising OI has new longs who will defend their entry. In options, writers are generally better capitalised than buyers. Where they add OI aggressively, they have the money and the motive to defend that strike through hedging flows.

(c) Annotated chart

Two sessions of NIFTY futures with OI: long build-up, short covering, short build-up and long unwinding, each with a different meaning for the next move.

(d) NIFTY example

Monday morning NIFTY rises from 25,600 to 25,700 while futures OI climbs from 120 to 138 lakh: long build-up. In the afternoon price continues to 25,780 but OI drops to 124: short covering, so don't chase. Tuesday price falls to 25,690 while OI rises to 142: short build-up, so sell rallies. Late Tuesday price drifts to 25,640 with OI falling: long unwinding, so the fall is losing energy and you should book profits on shorts.

Options read: if 26,000 CE OI jumps by 40 lakh while NIFTY is at 25,950 and 25,800 PE OI also rises, writers expect a 25,800-26,000 range. Sell outside it, not inside.

(e) Rule-based entry, stop-loss and target

Use	Confirmation filter for setups in Ch 22, not a standalone entry
Long filter	Long build-up or short covering into a demand zone/sweep
Short filter	Short build-up or long unwinding at a supply zone/sweep
Option walls	Highest CE OI = ceiling, highest PE OI = floor; watch intraday shifts every 30 min
Caution	OI data updates with a lag; PCR is sentiment, not timing

RULE

Never trade OI alone. OI tells you whose fight it is; price action tells you who is winning right now.

(f) Common mistakes

- ✗ Reading PCR = 1.4 as 'market must go up' and buying calls.
- ✗ Ignoring that call OI can be hedged (covered calls, spreads), not just naked writers.
- ✗ Checking OI only at 09:15. Writers shift strikes during the day.

RETAIL MISTAKE

Seeing 'huge put writing' on a screener at 10:00, selling puts, and missing that by 13:00 those writers had rolled down two strikes.

(g) Summary**SUMMARY: 3 THINGS TO REMEMBER**

1. Price + OI tells you whether moves are fresh positions or exits.
2. Option OI walls show where writers will defend; PCR is context only.
3. Use OI to confirm price-action setups, never to replace them.

PART 3 · SMART-MONEY PRICE ACTION

19 Candles in Context

A candle is a word. Location is the sentence.

(a) The concept

Four candles are worth knowing: the **pin bar** (long wick, small body: rejection), the **engulfing candle** (body swallows the previous body: control has changed), the **inside bar** (range inside the previous bar: compression before expansion), and the **marubozu** (full body, no wicks: displacement and intent).

On its own, none of these means anything. A pin bar in the middle of a range is noise. The same pin bar after a sweep of PDL, at a demand zone, with a volume spike, is a high-quality signal.

GURUJI SAYS

Candlestick books sold millions because they make trading look easy: 'hammer = buy'. In 30 years I've never seen a hammer make money by itself. Hammer at the right place, with the right people trapped? That is money.

(b) Why it works: the psychology

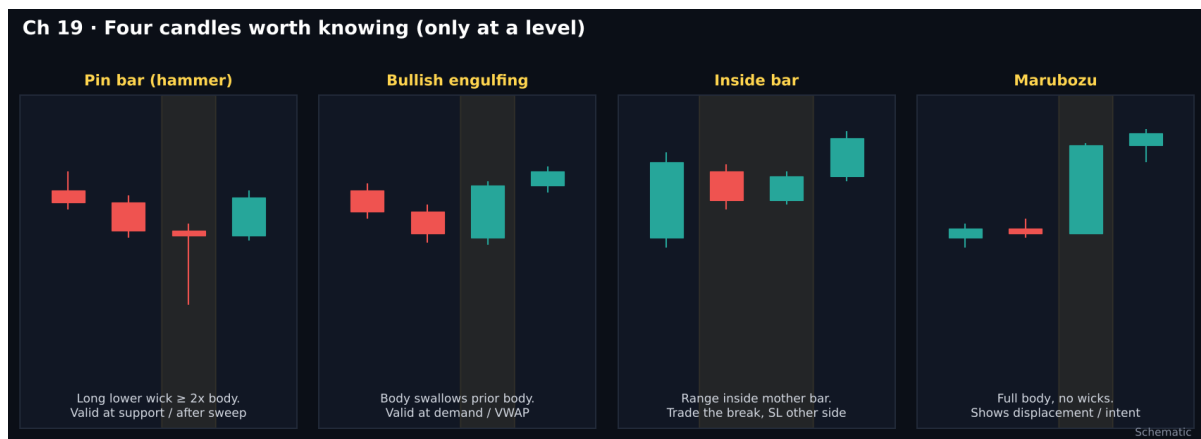
A candle shows the result of a fight within one period. At a liquidity level, that fight is between the operator and the trapped traders, so the result matters. In the middle of nowhere, the fight is between small random orders, and the result carries no information about what comes next.

(c) Annotated charts

Same pin bar, two locations: after a sweep of PDL 25,600 (trade) vs in the middle of a drift (ignore).

(d) NIFTY example

NIFTY drifts down to PDL 25,600 and prints a pin bar: low 25,582, close 25,614, with 3x volume. The sweep below PDL plus the reclaim plus the volume make it an A-grade signal: long above 25,620, SL 25,578, target 25,680. An hour earlier, an identical-looking pin bar at 25,650 in the middle of the move led nowhere: no level, no trapped traders, no volume.



The four candles worth knowing, schematically, and where each one is valid.

(e) Rule-based entry, stop-loss and target

Pin bar	Entry above its high, SL below its wick; valid only at a level / after a sweep
Engulfing	Entry on close, SL beyond the engulfing low/high; valid at zones / VWAP
Inside bar	Entry on break of the mother bar, SL other side; valid in trend, at a level
Marubozu	Not an entry. It shows displacement, so mark the FVG/OB it leaves behind
Location check	PDH/PDL, round number, zone, VWAP, swept liquidity: at least one must be present

RULE

Location first, candle second. No level, no trade, however beautiful the candle.

(f) Common mistakes

- ✗ Trading candle patterns on the 1-min chart in the middle of the day.
- ✗ Calling any small body a 'doji reversal'.
- ✗ Ignoring the volume on the signal candle.

RETAIL MISTAKE

Selling a 'shooting star' at 25,900 in an uptrend with no level above, and getting run over by the next marubozu.

(g) Summary

SUMMARY: 3 THINGS TO REMEMBER

1. Four candles: pin bar, engulfing, inside bar, marubozu.
2. Each is meaningful only at a liquidity level, with volume.
3. Location is the setup; the candle is just the trigger.

PART 3 · SMART-MONEY PRICE ACTION

20 Multi-Timeframe Alignment

Daily for direction, 15-min for structure, 5-min for the trigger.

(a) The concept

Use three timeframes, each with one job. The **daily** gives bias and big zones (where are we in the bigger trend, and where is daily demand/supply?). The **15-min** gives structure (is the intraday trend aligned, and has a CHoCH happened at the daily zone?). The **5-min** gives the trigger (sweep, engulfing, FVG entry) and a tight stop.

GURUJI SAYS

Bade timeframe ki baat suno, chhote se entry lo. Listen to the big timeframe, take entries from the small one. Never the other way round.

(b) Why it works: the psychology

Trades aligned with the higher timeframe have the big money behind them, so pullbacks get bought and targets get reached. Trades against it fight that flow. The lower timeframe lets you enter with a stop of 20-40 points instead of 120, which makes 1% risk possible with real size.

(c) Annotated chart



Daily uptrend pulls back into daily demand 25,550-25,620; the 15-min shows a CHoCH up at 25,640; the 5-min gives a sweep to 25,588 and an engulfing entry at 25,624.

(d) NIFTY example

Daily: NIFTY is in an uptrend from 24,700 to 25,720 and pulls back to daily demand at 25,550-25,620. Bias is long; for sellers, sell puts or bull put spreads. **15-min:** the pullback reaches 25,585 and then closes above the last lower high at 25,640, a CHoCH up. **5-min:** after a sweep of the 25,600 lows to 25,588, a bullish engulfing closes at 25,622. Long 25,624, SL 25,586, target 25,680 (about 1.5R), with higher-timeframe targets beyond.

(e) Rule-based entry, stop-loss and target

Daily	Trend + zone = bias (long / short / no trade)
15-min	Structure aligned with bias, or a CHoCH at the daily zone
5-min	Trigger: sweep + engulfing / FVG retest / OB reaction
Entry/SL	Long 25,624, SL 25,586 (below the 5-min sweep)
Target	25,680, then the 15-min swing high; R:R ≥ 1:1.5

RULE

If daily and 15-min disagree, trade smaller or don't trade. If 5-min is your only reason, it's not a reason.

(f) Common mistakes

- ✗ Taking 5-min short signals inside a daily uptrend at daily demand.
- ✗ Switching timeframes until one 'agrees' with the trade you want.
- ✗ Using daily stops with 5-min position size (or vice versa).

RETAIL MISTAKE

Seeing a red 5-min engulfing and selling calls, unaware the daily chart just bounced off a major demand zone.

(g) Summary**SUMMARY: 3 THINGS TO REMEMBER**

1. Daily = direction and zones; 15-min = structure; 5-min = trigger.
2. Alignment puts institutional flow behind your trade.
3. Lower-timeframe entries give tight stops and better R:R at the same 1% risk.

PART 3 · SMART-MONEY PRICE ACTION**21****VWAP, PDH/PDL/PDC and CPR**

Yesterday's levels and today's average are where institutions measure themselves.

(a) The concept

VWAP (volume-weighted average price) is the average price paid today, weighted by volume. Institutions benchmark execution against it: buyers want to buy below VWAP, sellers to sell above it. **PDH/PDL/PDC** (previous day high, low, close) are the most-watched intraday liquidity levels.

CPR (central pivot range) uses yesterday's H/L/C: $Pivot P = (H+L+C)/3$, $BC = (H+L)/2$, $TC = 2P - BC$. A **narrow CPR** (width under ~0.1% of price) often precedes a trend day; a wide CPR a range day.

GURUJI SAYS

VWAP is the institution's report card. Above it, the buyers are winning the day; below it, the sellers. Don't argue with the report card.

(b) Why it works: the psychology

Funds executing large orders through the day use VWAP algorithms. On a trend day, every pullback to VWAP is where their algorithms buy more, so pullbacks hold there. PDH/PDL collect yesterday's stops, which is why they get swept or broken with force. CPR summarises yesterday's balance: a narrow CPR means yesterday was balanced, and balance usually resolves into imbalance (a trend).

(c) Annotated chart

PDH 25,880, PDL 25,700, PDC 25,780; narrow CPR 25,783-25,790. The opening dip holds CPR + VWAP, the 12:45 VWAP pullback holds, and the PDH break at 13:45 holds.

(d) NIFTY example

Yesterday: H 25,880, L 25,700, C 25,780, so P = 25,787, BC = 25,790, TC = 25,783: a narrow 7-point CPR. Today NIFTY opens at 25,805, above CPR. The 09:35 dip to 25,786 holds CPR and VWAP, a long trigger. NIFTY trends to 25,880 (PDH) by 11:30. At 12:45 a pullback touches VWAP (~25,846) and holds, so you add or re-enter. At 13:45 PDH breaks and holds, and the buy-stops above it fuel the move to 25,930.

(e) Rule-based entry, stop-loss and target

Entry	Long on the first pullback to VWAP that holds with a bullish close (e.g. 25,848)
Stop-loss	15-20 pts below VWAP / below the pullback low (25,830)
Target	PDH 25,880 first, then the next round number / R1
Bias	Open above CPR + above VWAP = long bias; below both = short bias; between = range
CPR width	< 0.1% of spot: expect trend; > 0.4%: expect range (sellers' day)

RULE

Don't short above a rising VWAP or buy below a falling VWAP on a trend day. Fight the report card only at a major liquidity sweep.

(f) Common mistakes

- ✗ Using VWAP on the daily chart (it resets every day; it's an intraday tool).
- ✗ Treating CPR as a magic support instead of a context indicator.
- ✗ Ignoring PDH/PDL: they are the first places the day's liquidity will be tested.

RETAIL MISTAKE

Shorting NIFTY at 25,880 'because it's PDH resistance' on a narrow-CPR trend day above VWAP. That short is the fuel for the breakout.

(g) Summary**SUMMARY: 3 THINGS TO REMEMBER**

1. VWAP = today's institutional average; respect its slope.
2. PDH/PDL/PDC are the first liquidity targets of the day.
3. Narrow CPR → trend day likely; wide CPR → range day likely.

PART 4 · TURNING IT INTO TRADES

22 Five A+ Setups

Fewer setups, done well, beat many setups done badly.

(a) The concept

Everything in Parts 1-3 reduces to a handful of repeatable trades. Each one has a **checklist** (all items must be true), a precise **trigger**, a **stop-loss** beyond the liquidity, a **target** at the next liquidity, a **time window**, and a list of conditions under which you **don't** take it. Grade each trade in your journal: A (all items), B (one missing: half size), C (two or more missing: no trade).

GURUJI SAYS

A professional is not someone who trades a lot. He is someone who waits for his trade, takes it without fear, and goes home. Five setups are enough for a lifetime.

(b) Why it works: the psychology

Every setup here trades with the operator, after the liquidity has been taken. Trap reversals (1, 2) enter after retail has been trapped; continuation trades (3, 4) join institutions at their own price after a displacement; the expiry seller trade (5) sells premium beyond the liquidity that has already been swept, with a hedge and a hard time stop.

(c-e) The five setups: chart, checklist, entry, stop-loss, target

Setup 1 · PDH/PDL Liquidity-Sweep Reversal

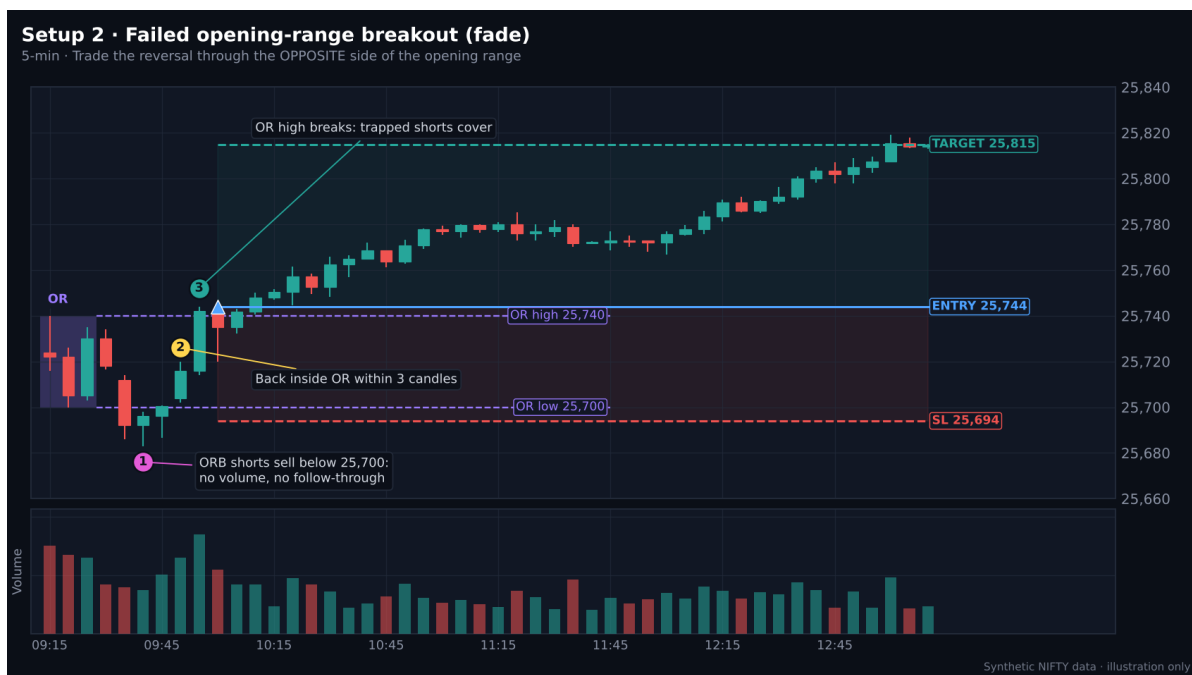


09:40 wick to 25,628 sweeps PDL 25,650 on a volume spike; entry above the reclaim candle.

Checklist	☐ PDH or PDL clearly marked; stops visibly clustered (equal highs/lows near it) ☐ Wick beyond the level by 10-30 pts on $\geq 2x$ average volume ☐ 5-min close back inside the level within 1-2 candles ☐ Not against a strong 15-min trend (or the sweep is at a daily zone)
Entry trigger	Break of the reclaim candle's high (long) / low (short): long 25,667
Stop-loss	3-5 pts beyond the sweep wick: 25,626 (risk 41 pts)

Target	T1 PDC / VWAP 25,730 ($\approx 1:1.5$), T2 25,760 ($\approx 1:2.3$)
R:R	1:1.5 to 1:2.5
Best time	09:30-11:00 (best), 13:30-14:30
When NOT to take it	Trend days with a narrow CPR where price opens beyond the level; event days; wick without volume
Win rate	Illustrative: in my notes it works roughly 5-6 times out of 10 with proper filters; that is not a promise.

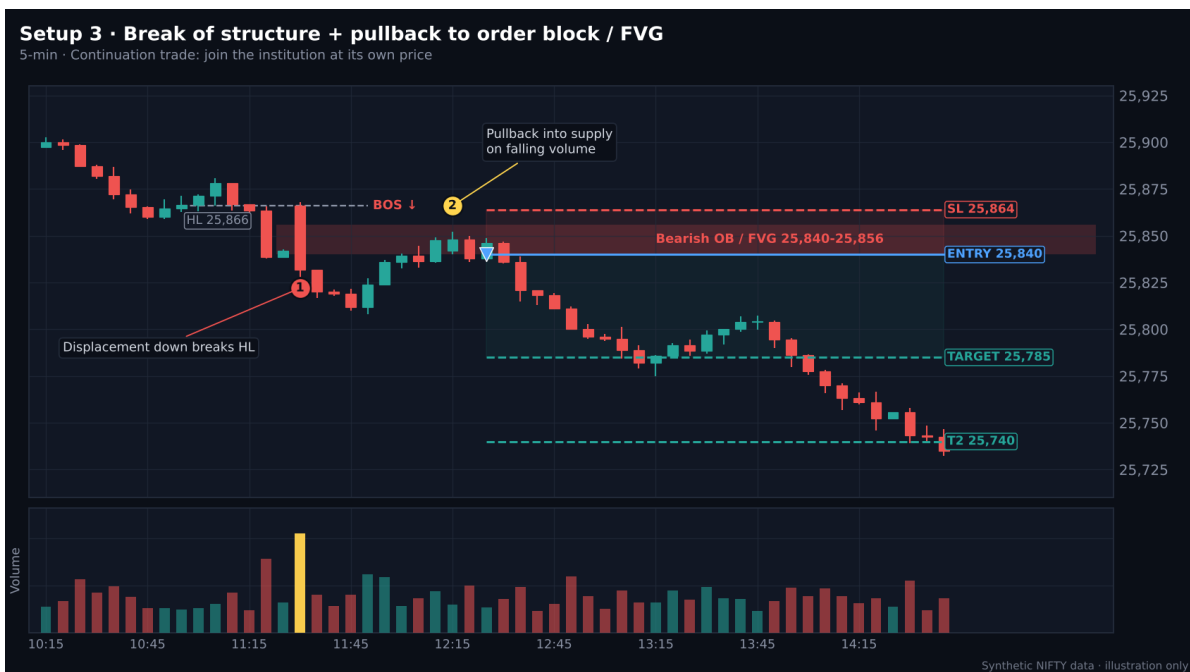
Setup 2 · Failed Opening-Range Breakout (Fade)



OR 25,700-25,740; the break below 25,700 has no volume; back inside in 3 candles; the OR-high break traps the shorts.

Checklist	☐ Opening range 09:15-09:30 marked (width 30-70 pts) ☐ First break of one side on below-average volume ☐ Back inside the OR within 3 candles ☐ Break of the opposite OR side with volume
Entry trigger	Close beyond the opposite OR side: long 25,744 above OR high 25,740
Stop-loss	Beyond the failed-break extreme: 25,694 (risk 50 pts)
Target	25,815, next liquidity / $1.5 \times$ OR width ($\approx 1:1.4$); trail rest
R:R	1:1.4 to 1:2
Best time	09:30-10:45 only
When NOT to take it	OR wider than 100 pts (risk too big for 1%), gap days > 1%, expiry mornings with OI shifting
Win rate	Illustrative: roughly half the time; profits come from letting winners run to the trail.

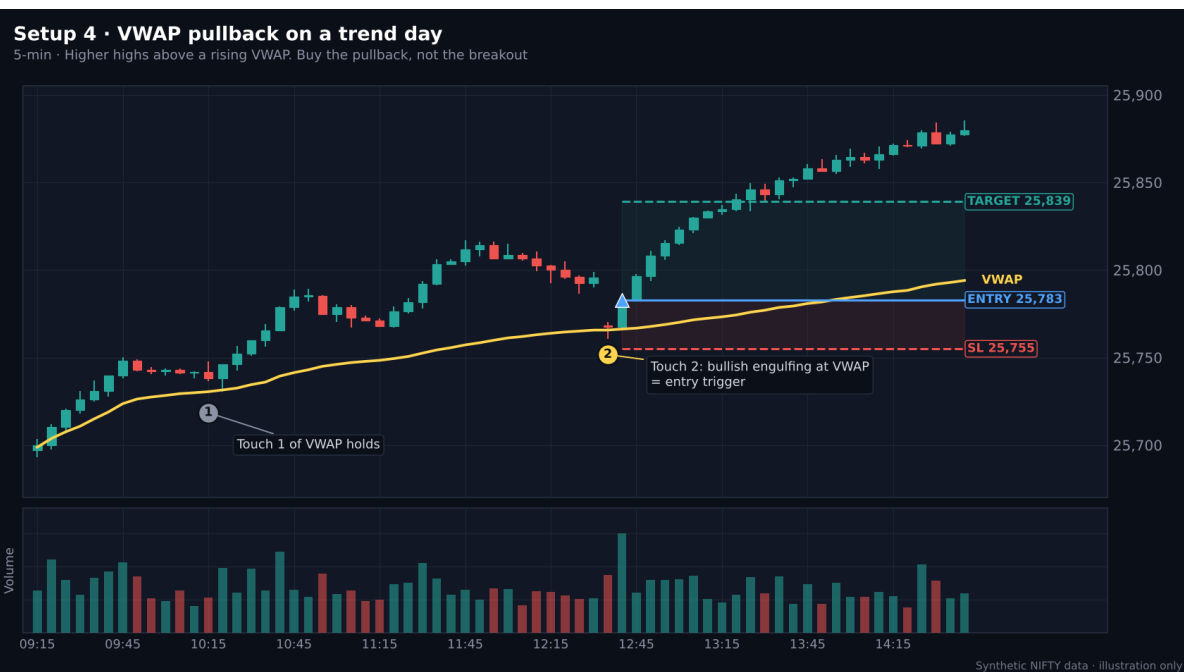
Setup 3 · BOS + Pullback to Order Block / FVG



A displacement down breaks the HL at 25,866 (BOS); the pullback into the bearish OB/FVG 25,840-25,856 on falling volume gives the short.

Checklist	☐ 15-min trend aligned with the trade direction ☐ Displacement candle breaks structure (BOS) with $\geq 2x$ volume ☐ Clear OB or FVG left behind the displacement ☐ Pullback into the zone on falling volume; first touch only
Entry trigger	Limit/stop entry inside the zone with a rejection candle: short 25,840
Stop-loss	Beyond the zone/OB extreme: 25,864 (risk 24 pts)
Target	T1 25,785 ($\approx 1:2.3$), T2 25,740 ($\approx 1:4$)
R:R	1:2 to 1:4
Best time	10:00-13:30
When NOT to take it	Zone already tested; pullback with rising volume (that is a reversal, not a pullback); lunch chop
Win rate	Illustrative: lower win rate than reversals ($\approx 4-5$ in 10) but the largest R:R.

Setup 4 · VWAP Pullback on a Trend Day



Higher highs above a rising VWAP; the second touch at 12:35 prints a bullish engulfing; long with SL under the touch.

Checklist	☐ Open beyond CPR, narrow CPR or strong gap-and-go ☐ Price holding above a rising VWAP (or below a falling one) for 60+ min ☐ Pullback to VWAP on lower volume ☐ Bullish engulfing / pin bar at VWAP
Entry trigger	Close of the engulfing candle at VWAP: long 25,783
Stop-loss	Below the pullback low: 25,755 (risk 28 pts)
Target	25,839, previous high / 2R; trail under VWAP after
R:R	1:2
Best time	10:30-14:00
When NOT to take it	Flat VWAP (range day), third touch or later, close below VWAP before entry
Win rate	Illustrative: works well only on genuine trend days. Use CPR width and opening drive as filters.

Setup 5 · Expiry-Day Round-Number Rejection (Option Sellers)



10:15 sweep of 26,000/PDH to 26,022 with a wick rejection; sell the 26,100/26,300 bear call spread above the sweep and the OI wall.

Checklist	☐ Expiry Tuesday; heavy call OI at the round number / next strike ☐ Sweep of PDH / round number with a wick and volume spike before 11:30 ☐ Next 5-min candle closes back below the level ☐ VIX not rising; no event scheduled that afternoon
Entry trigger	Sell the bear call spread 26,100 / 26,300 after the close back below 25,995
Stop-loss	Spot: 15-min close above the sweep high 26,022; or spread value 2x the credit
Target	60-70% of the credit, or 14:45, whichever first
R:R	Defined: max loss = spread width – credit; size so that max loss $\leq$ 1% of capital
Best time	Enter 10:00-12:30; flat by 14:45
When NOT to take it	After 13:30, on news days, when VIX is rising, naked (unhedged) shorts, size > half normal
Win rate	Illustrative: high win rate, small wins. One unhedged gamma spike can erase 10 wins, so the hedge is not optional.

RULE

If a trade doesn't match one of the five checklists, it isn't a trade. It's entertainment, and entertainment costs money.

(f) Common mistakes

- ✗ Adding a sixth, seventh and eighth setup after a losing week instead of executing five better.
- ✗ Taking B and C setups at full size.
- ✗ Skipping the 'when NOT to take it' list because the chart 'looks so good'.

RETAIL MISTAKE

Taking 12 trades a day across 8 'strategies' and calling it diversification. It is noise with brokerage.

(g) Summary**SUMMARY: 3 THINGS TO REMEMBER**

1. Five setups: sweep reversal, failed ORB, BOS + OB/FVG, VWAP pullback, expiry rejection (sellers).
2. Each has a checklist, trigger, SL beyond liquidity, target at liquidity, and a time window.
3. Grade A/B/C; A = full size (1%), B = half, C = no trade.

PART 4 • TURNING IT INTO TRADES

23 Applying the Setups to Option Selling

Sell where price must work hardest to reach, and leave before the gamma hour.

(a) The concept

Option selling is not a separate strategy; it is a different way to express the same price-action view. The rules are: **(1) strike selection** beyond the liquidity and beyond the expected range, **(2) always hedged** (spreads or condors, max loss known), **(3) adjust or exit by rule**, never by hope, and **(4) be flat before the expiry-day gamma hour**.

GURUJI SAYS

A seller's job is not to be right about where NIFTY goes. It is to be right about where it won't go, and to be out before he is wrong.

(b) Why it works: the psychology

After a sweep-and-reject at a high, the liquidity above has been taken. To reach your short strike, price must find new buyers above a level that just failed. The **expected range** from India VIX (1-SD daily move $\approx \text{spot} \times \text{VIX} \div 100 \div \sqrt{252}$; at VIX 14 that is about $\pm 0.9\%$, or roughly ± 230 points) tells you where about two-thirds of days end. Selling inside it is selling coin flips. Beyond it, and beyond the OI wall, the odds turn in your favour, as long as you leave before the last-hour gamma spike.

(c) Annotated charts

Strike selection after a sweep to 26,044: sell 26,150 CE (beyond the sweep, the 26,100 OI wall and the expected range); hedge with 26,350 CE.

(d) NIFTY example

Expiry Tuesday. NIFTY sweeps 26,044 at 10:25 and rejects. VIX implies about ± 90 points for the rest of the session from 25,995, so roughly 25,905-26,085. The call OI wall is at 26,100. Sell the 26,150 CE / buy the 26,350 CE (bear call spread). The max loss is known before entry, so size it so that max loss $\leq$ ₹2,700.

Management (from the c22b chart): sold at 51, initial SL 66 (+30%). Once the premium has decayed 40% (to ~30), the SL trails to *low + half the open profit* (~39). The 14:20 rally hits it: $+11.9 \text{ points} \times 130 = +\text{₹}1,543$. Without the trail and cutoff, the same position would show -₹3,640 at 15:15.



Management on the Chapter 10 path: initial SL 66, a trail after 40% decay to ~39, hit at 14:20 for +₹1,543 on 2 lots, instead of facing 79 at 15:15.

(e) Rule-based entry, stop-loss and target

Strike	Beyond swept liquidity + OI wall + VIX 1-SD range; delta $\leq$ 0.15-0.20 at entry
Structure	Bear call / bull put spread or iron condor; never naked on ₹2-5 lakh capital
Stop-loss	Premium +30% (short leg) or spot structure break (15-min close), whichever first
Adjust	Don't roll the threatened side closer. Exit it; re-enter only on a fresh setup
Exit	Trail after 40% decay; book at 60-70%; expiry day: flat by 14:45, no new shorts after 14:00

RULE

Sell strikes outside the expected range and beyond the liquidity. Size by max loss, not by margin available. Be flat by 14:45 on expiry day.

(f) Common mistakes

- ✗ Choosing strikes by premium ('I want ₹30') instead of by location.
- ✗ Using all available margin because 'the strike is far'.
- ✗ Rolling a losing short closer to collect more premium, which doubles gamma risk.

RETAIL MISTAKE

Selling the 25,850 CE at 51, 35 points OTM on expiry morning. That strike was inside the expected range and inside the liquidity, so it was a coin flip with unlimited downside.

(g) Summary**SUMMARY: 3 THINGS TO REMEMBER**

1. Strike = beyond swept liquidity, OI wall and the VIX expected range.
2. Always hedged; size by max loss $\leq 1\%$ of capital.
3. Trail after 40% decay; book 60-70%; flat by 14:45 on expiry.

PART 4 · TURNING IT INTO TRADES

24 Risk Management

Analysis decides if you make money. Risk management decides if you stay in the game.

(a) The concept

Risk per trade = 1% of capital. At ₹2,70,000 that is ₹2,700. **Daily loss limit = 2%** (₹5,400): once hit, the day is over. **Weekly circuit breaker = 6%** (₹16,200): no trading until next Monday. **Expiry-day cutoff 14:45. No averaging losers, ever.**

Position-size formula: Lots = $\text{floor}(\text{Risk} \div (\text{SL distance in premium points} \times \text{lot size}))$, capped at your max-lots rule. With lot size 65: SL 15 premium points $\rightarrow$ ₹975 risk per lot $\rightarrow$ $\text{floor}(2,700 \div 975) = 2$ lots. For a spot-based stop, convert: premium SL $\approx$ spot SL $\times$ option delta. A 40-point spot stop on a 0.35-delta option $\approx$ 14 premium points $\rightarrow$ ₹910 per lot $\rightarrow$ 2 lots. For spreads, use max loss per lot (spread width – credit) $\times$ 65.

GURUJI SAYS

I have seen brilliant analysts go broke and average analysts retire rich. The difference was never the chart. It was the size.

(b) Why it works: the psychology

Losing streaks are guaranteed, even for good systems. With 1% risk, seven losses in a row cost $\sim 6.8\%$; with 10% risk they cost $\sim 52\%$. And recovery is asymmetric: a 46% drawdown needs $+85\%$ to get back. Averaging a loser turns a planned 1R loss into an unplanned 5-15R loss, which no win rate can repay.

(c) Annotated charts

Same 150 trades (45% win rate, $+1.4R / -1R$): 1% risk ends at ₹2.84L (max drawdown $\sim 21\%$); 10% risk ends at ₹1.74L after falling to $\sim ₹17,000$ ($\sim 94\%$).

(d) NIFTY example

Your capital is ₹2,70,000. Setup 1 gives a long NIFTY trigger at 25,667 with SL 25,626 (41 spot points). You sell a bull put spread instead: the short 25,600 PE has delta ≈ 0.30 , so the premium SL is ≈ 12 points. Risk per lot = $12 \times 65 = ₹780$. Lots = $\text{floor}(2,700 \div 780) = 3$, but your max-lots rule says 2 $\rightarrow$ **2 lots**, risk ₹1,560.

Daily check: trade 1 loses ₹1,560, trade 2 loses ₹2,700 $\rightarrow$ day = -₹4,260. One more full loss would breach ₹5,400, so the third trade is allowed only at a size that keeps the day above -₹5,400 (1 lot), or not at all.



Averaging a losing short: 1 lot at 40 (risk ₹780) becomes 6 lots at an average of 68.5 and a ₹10,725 loss (~14x the plan).

(e) Rule-based entry, stop-loss and target

Risk/trade	1% = ₹2,700 (max 2% only after 3 green months)
Daily limit	2% = ₹5,400 $\rightarrow$ stop for the day; 2 consecutive losses $\rightarrow$ stop
Weekly	6% = ₹16,200 $\rightarrow$ stop until next Monday; after a losing week, half size
Expiry	No new shorts after 14:00; flat by 14:45; expiry size $\leq$ half normal
Never	Average a loser · widen an SL · trade without an SL order placed in the system

RULE

The stop-loss is an order in Kite within 30 seconds of entry, not a number in your head. A mental stop is not a stop.

(f) Common mistakes

- ✗ Sizing by available margin ('I can afford 10 lots') instead of by stop distance.
- ✗ Moving the SL further away 'to give it room'.
- ✗ Raising size to recover losses faster. That is exactly how ₹5 lakh became ₹2.7 lakh.

RETAIL MISTAKE

'Margin is ₹1.8 lakh, I have ₹2.7 lakh, so I can do 5 lots.' Margin tells you what the broker allows, not what your account can survive.

(g) Summary**SUMMARY: 3 THINGS TO REMEMBER**

1. 1% per trade, 2% per day, 6% per week. Hard limits.
2. Lots = $\text{Risk} \div (\text{premium SL} \times 65)$, capped by max lots.
3. Never average losers; the SL is an order, not a thought.

PART 4 · TURNING IT INTO TRADES

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Trader Psychology

The market doesn't take your money. Your next trade after a loss does.

(a) The concept

Three psychological failures destroy small accounts: **revenge trading** (trading to win back a loss now), **tilt** (a state where emotion overrides rules and size rises as discipline falls), and the **recovery mindset** (seeing every trade as a chance to get back to the old peak instead of as one execution of an edge).

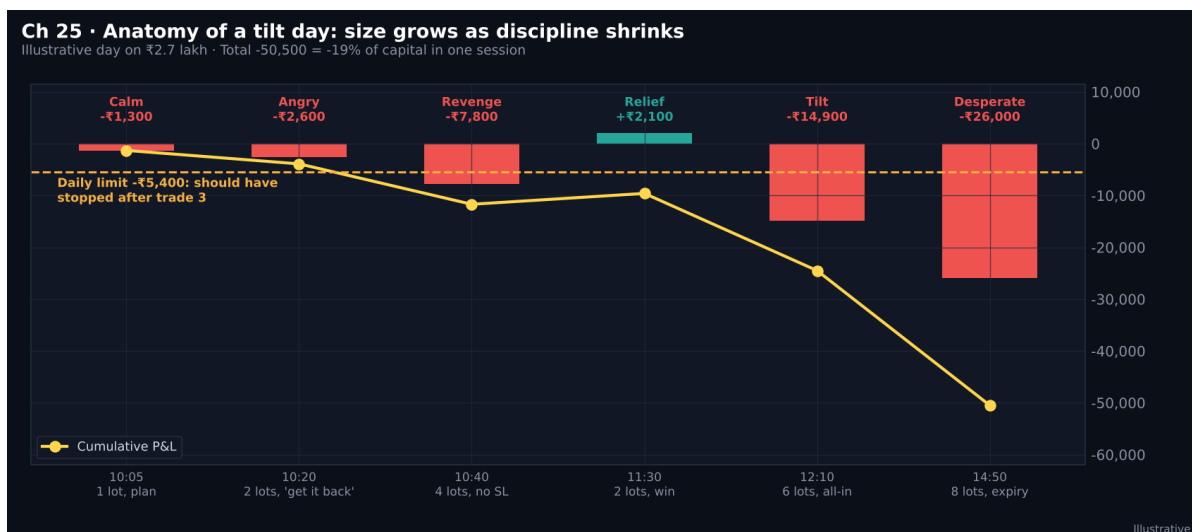
GURUJI SAYS

Loss ke baad market tumhe nahi bulata, tumhara ego bulata hai. After a loss, the market isn't calling you; your ego is. Let it ring.

(b) Why it works: the psychology

After a loss, the brain treats the money as something that was taken from you and must be recovered now. That raises risk-taking, so you get bigger size, no SL and lower-quality setups, at exactly the moment your judgement is worst. Mark Douglas called this a failure to accept risk. Brett Steenbarger's work with prop traders shows the fix is process: pre-set limits, a forced break, and review of the decision, not the outcome.

(c) Annotated charts

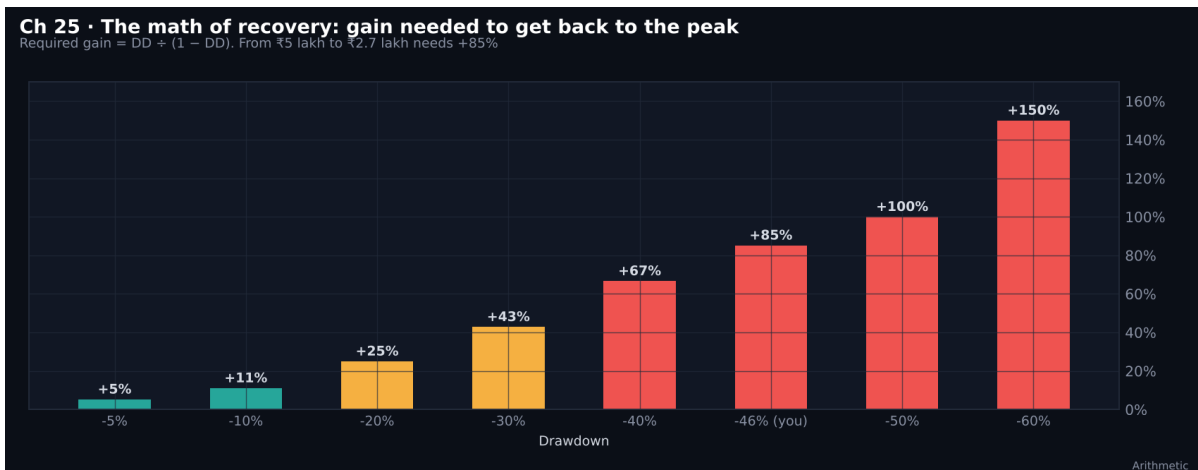


A tilt day on ₹2.7 lakh: size grows 1 → 2 → 4 → 6 → 8 lots as emotions escalate; -₹50,500 (-19%) in one session. The daily limit was hit after trade 3.

(d) NIFTY example

A 10:05 loss of ₹1,300 is a normal, planned loss. At 10:20 the trader doubles size 'to get it back' (-₹2,600). At 10:40 four lots without an SL (-₹7,800): the day is now -₹11,700, more than twice the daily limit. A small win at 11:30 feels like 'I'm back'. Six lots at 12:10, eight lots into expiry at 14:50: -₹50,500. Not one of these losses was caused by the market. All of them were caused by not stopping after trade 3.

How pros handle drawdowns: cut size by half after a 5% drawdown, by half again after 10%; trade only A setups; review the journal daily; return to full size only after two green weeks.



The math of recovery: -46% needs +85%; -50% needs +100%. Small losses are recoverable, big ones change your life.

(e) Rule-based entry, stop-loss and target

After a loss	15-minute break, away from the screen; write one line about why it happened
2 losses	Done for the day: the daily limit and consecutive-loss limit both exist for this
Drawdown 5%	Half size; A setups only
Drawdown 10%	Quarter size or paper-trade one week; review every trade in the journal
Recovery	Target the process (100% rule adherence), not the money (₹ back to peak)

RULE

When the journal's STOP flag turns red, close the terminal. Log out of Kite. It is the most profitable click you will make all month.

(f) Common mistakes

- ✗ Reading every loss as personal ('the market is against me').
- ✗ Measuring a day by P&L instead of by rule adherence.
- ✗ Sharing positions in groups for validation, then holding losers to save face.

RETAIL MISTAKE

Trying to recover ₹2.3 lakh in a month. At 1% risk, recovery takes many months. Trying to do it in weeks needs 10% risk, and 10% risk is what caused the drawdown.

(g) Summary

SUMMARY: 3 THINGS TO REMEMBER

1. Revenge and tilt show up as rising size and falling rule adherence.
2. Hard limits plus forced breaks beat willpower.
3. Recovery is a process goal: execute well; the money follows slowly.

PART 4 · TURNING IT INTO TRADES

26 The Daily Routine

Amateurs trade the market. Professionals trade their routine.

(a) The concept

A fixed routine removes decisions from emotional moments. It has three blocks: **pre-market** (08:30-09:15) to prepare the map, **in-session** to execute only inside defined time windows, and **post-market** (15:30-16:00) to journal and review.

GURUJI SAYS

I still write my levels by hand every morning after 30 years. Not because I forget them, but because writing them makes me commit before the noise starts.

(b) Why it works: the psychology

Most bad trades are made in the first 15 minutes (reacting to the gap), in the lunch chop (boredom) and in the last hour on expiry (greed). A routine that blocks those windows removes most of the damage before it happens.

(c) Annotated chart



The session as time zones: observe 09:15-09:30, prime window 09:30-11:30, lunch chop 11:30-13:30, second window 13:30-14:45, expiry exit after 14:45.

(d) NIFTY example

Pre-market (20 min): GIFT Nifty and global cues; India VIX and the 1-SD range; PDH/PDL/PDC, CPR, round numbers, equal highs/lows; option chain: max pain, CE/PE OI walls; event calendar; the journal's PRE-MARKET row (emotional state, sleep, 'trading to recover?'). If the sheet says NO TRADE, the day is observation only.

In-session: no trades 09:15-09:30. A+ setups 1-3 in the prime window; setups 4-5 in the second window; lunch only at half size. SL order within 30 seconds of entry. Check the DASHBOARD after each trade. Expiry: no new shorts after 14:00, flat by 14:45.

Post-market (15 min): complete every TRADE LOG row (MAE/MFE from the Kite chart), screenshot each trade, write one lesson, grade the day on rule adherence. Friday: WEEKLY REVIEW, choose one change.

(e) Rule-based entry, stop-loss and target

08:30-09:15	Map: levels, VIX range, OI walls, events, emotional check
09:15-09:30	Observe only; mark the opening range
09:30-11:30	Prime window: setups 1, 2, 3
11:30-13:30	Lunch chop: half size or none
13:30-14:45	Second window: setups 4, 5; expiry exits from 14:40

RULE

No pre-market map, no trading. If you missed the preparation, the day is observation only.

(f) Common mistakes

- ✗ Opening the terminal at 09:14 with no levels marked.
- ✗ Trading all session because the screen is open.
- ✗ Skipping the journal on losing days, which are exactly the days that teach the most.

RETAIL MISTAKE

Spending the evening on Telegram tips instead of 15 minutes on the journal. Tips are someone else's liquidity plan.

(g) Summary**SUMMARY: 3 THINGS TO REMEMBER**

1. Pre-market map, time-boxed execution, post-market journal.
2. Block the dangerous windows: the first 15 minutes, lunch, and the expiry last hour.
3. The routine is the edge that protects every other edge.

PART 4 · TURNING IT INTO TRADES

27

The One-Page Cheat Sheet

Print it. Keep it next to the screen.

(a) The concept

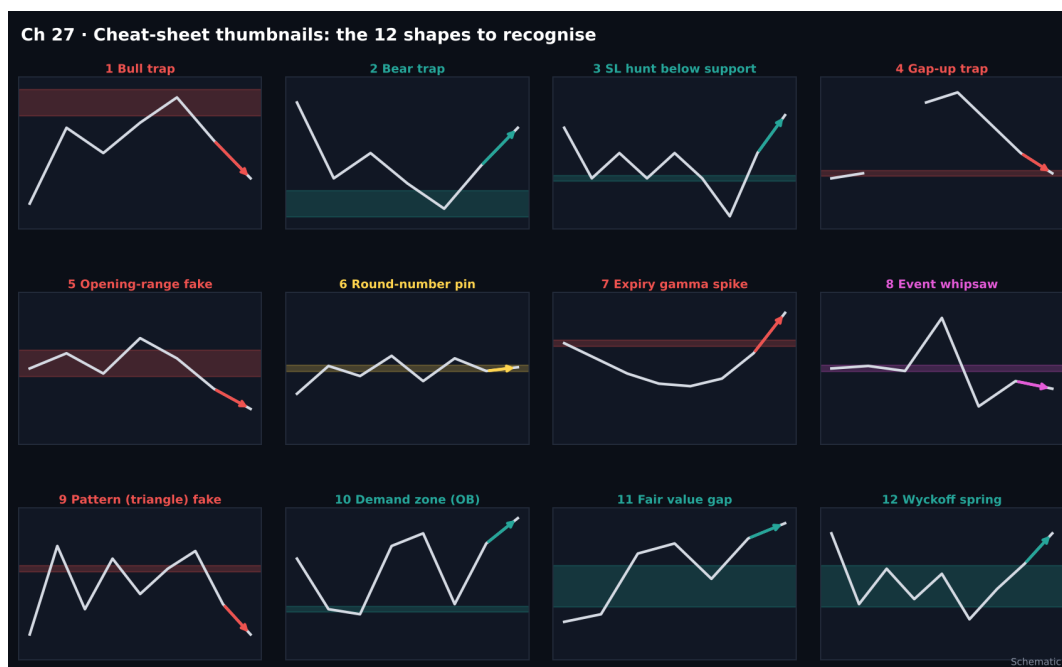
Every trap in Part 2 and every setup in Part 4 fits in one table: what you see, what it means, and what to do. Print the next page and keep it beside your trading screen. Read it before the open and after every loss.

GURUJI SAYS

When the market is moving fast, nobody thinks clearly, including me. That's why pilots use checklists. Use yours.

(b) Why it works: the psychology

Under stress, recognition beats reasoning. The 12 thumbnails train your eye to recognise the shapes quickly; the table tells you the response you decided on when you were calm.

(c) Annotated chart

The 12 shapes to recognise: nine traps and three smart-money footprints.

(d) NIFTY example

Live use: at 09:40 NIFTY wicks below PDL on a volume spike. Glance at the sheet: 'SL hunt / PDL sweep → wait for close back inside → Setup 1'. The decision takes five seconds because you made it last night.

(e) Rule-based entry, stop-loss and target

Risk card	1R = ₹2,700 · day – ₹5,400 · week – ₹16,200 · max 2 lots · max 3 trades
Size	Lots = floor(2,700 ÷ (premium SL × 65))
Expiry	Tuesday · no new shorts after 14:00 · flat by 14:45
Never	Average losers · trade without an SL order · trade after the STOP flag
Verify	Lot 65, Tuesday expiry, charges: re-check NSE/broker circulars each June & December

RULE

If it is not on the sheet, don't trade it.

(f) Common mistakes

- ✗ Keeping the cheat sheet in a folder instead of next to the screen.
- ✗ Adding new patterns after a losing day.
- ✗ Reading it only after the trade, not before.

RETAIL MISTAKE

Knowing every pattern and still trading by impulse. Knowledge without a checklist is a library, not a system.

(g) Summary**SUMMARY: 3 THINGS TO REMEMBER**

1. Twelve shapes, five setups, one risk card.
2. Decide calmly in advance; execute by recognition.
3. The sheet beats the impulse, every time.

One-page cheat sheet

TRAPS: recognise, don't participate

Trap	What you see	What it means	What to do
Bull / bear trap (Ch 5)	Break of a level on LOW volume, back inside in ≤3 candles	Breakout buyers/sellers trapped	Trade the failure; SL beyond trap extreme; target range opposite
Stop-loss hunt (Ch 6)	Long wick beyond triple-touched level + volume spike, close back inside	Stops filled big orders	Enter on reclaim; SL beyond wick; sellers sell premium after it
Gap trap (Ch 7)	Gap 0.4-1%, first 15-min range breaks against the gap	Opening emotion was exit liquidity	Trade toward PDC; SL other side of opening range
Opening-range fake (Ch 8)	First OR break fails within 3 candles	ORB orders harvested	Trade opposite OR break; genuine = volume + retest
Round-number / max-pain pin (Ch 9)	Expiry: heavy CE+PE OI at round strike, small excursions fail	Writers' hedging pulls price back	Fade excursions; don't buy OTM breakouts; flat by 14:45
Expiry gamma spike (Ch 10)	Short near the strike after 14:00; spot accelerating toward it	Delta jumps 0.1 → 0.9 within ~60 pts	Trail after 40% decay; hard exit 14:45; half size
Theta / gamma trap (Ch 11)	Buyer: flat range for days. Seller: trend day vs short strangle	Time kills buyers; gamma kills sellers	Buyers: momentum + time stop. Sellers: hedged, exit at 2x
Event whipsaw (Ch 12)	RBI / Budget / Fed / CPI headline spike then reversal	Both sides' stops hunted; IV crush	No trades ±15/30 min; trade retest of pre-event range
Pattern / trendline fake (Ch 13)	Perfect triangle / double top breaks quietly, then fails	Pattern traders' orders harvested	Trade the failure or the loud second break
20-pt overshoot (Ch 14)	Poke 15-25 pts through a round no. on low volume, closes back	Breakout buyers + stops filled	Enter on close back; SL poke + 10; 2R, then 100-120 pts

A+ SETUPS: grade A = 1% risk, B = half, C = no trade

Setup	Checklist core	Trigger	Stop-loss	Target / R:R	Time
1 Sweep reversal	PDH/PDL sweep + volume + reclaim	Above/below reclaim candle	Beyond wick	PDC / VWAP, 1:1.5-2.5	09:30-11:00
2 Failed ORB	First OR break fails, opposite side breaks	Close beyond opposite OR side	Failed-break extreme	1.5x OR width, 1:1.4-2	09:30-10:45
3 BOS + OB/FVG	Displacement BOS, pullback on low volume	Rejection inside zone	Beyond zone	Next liquidity, 1:2-4	10:00-13:30
4 VWAP pullback	Trend day, rising VWAP, 1st/2nd touch	Engulfing at VWAP	Below pullback low	Prior high, 1:2	10:30-14:00
5 Expiry rejection (sell)	Sweep of round no./PDH before 11:30	Bear call / bull put spread	15-min close beyond sweep / 2x credit	60-70% credit or 14:45	10:00-12:30, flat 14:45

RISK CARD

Capital ₹2,70,000	1R = ₹2,700 · daily limit ₹5,400 · weekly ₹16,200 · max 2 lots · max 3 trades · 2 losses in a row = stop
Position size	Lots = floor(₹2,700 ÷ (premium SL pts × 65)); spot SL × delta ≈ premium SL; spreads: (width – credit) × 65 per lot
Expiry Tuesday	Half size · no new shorts after 14:00 · trail after 40% decay · flat by 14:45
Option selling	Strike beyond swept liquidity + OI wall + VIX 1-SD range · always hedged · exit at 2x
Never	Average losers · widen SL · trade first 15 min / event first 30 min · trade after STOP flag

Glossary

ATM / ITM / OTM	At-, in-, out-of-the-money: strike at, favourable to, or beyond spot for the option holder.
Bakra	Slang: the 'goat', the trader whose losses become someone else's profit.
BOS	Break of structure: candle close beyond the last swing in the trend direction.
CHoCH	Change of character: first close beyond the last swing against the trend.
CPR	Central pivot range: Pivot $(H+L+C)/3$, BC $(H+L)/2$, TC $2P-BC$ from the previous day.
Delta	Change in option price per 1-point move in spot (0 to 1 for calls).
Demand / supply zone	Base from which price displaced up / down; unfilled orders remain there.
Displacement	Fast, large-bodied, high-volume move showing institutional intent.
DTE	Days (trading) to expiry. 0 = expiry day.
ELM	Extreme loss margin; +2% on short index options on expiry day.
Equal highs / lows	Two or more swing points at the same price; double the resting stops.
FII / DII	Foreign / domestic institutional investors.
FVG	Fair value gap: gap between candle 1 and candle 3 after a displacement candle.
Gamma	Rate of change of delta; explodes near the strike close to expiry.
Inducement	A small move designed to attract traders and place their stops predictably.
IV / IV crush	Implied volatility; its sharp fall after an event, which cuts option premiums.
Liquidity	Resting orders (stops, limits, breakout entries) that large players need to fill size.
LPS / LPSY	Last point of support / supply in Wyckoff phase D.
MAE / MFE	Maximum adverse / favourable excursion during a trade.
Max pain	Strike at which option buyers lose the most at expiry.
OI	Open interest: number of outstanding contracts.
Operator	Slang: a large player able to move price to harvest liquidity.
Order block (OB)	Last opposite-colour candle before a displacement.
OR / ORB	Opening range (09:15-09:30) / opening-range breakout.
PCR	Put-call ratio of open interest; a sentiment gauge.
PDH / PDL / PDC	Previous day high / low / close.
R / R-multiple	1R = planned risk; result expressed in units of planned risk.
SL hunting	Moving price through a stop cluster to fill large orders.
Spring / upthrust	False break below / above a Wyckoff range that traps traders.
Sweep	Fast move beyond a liquidity level that triggers stops, then reverses.
Theta	Time decay: premium lost per day/hour, fastest near expiry.
Tilt	Emotional state in which rules are abandoned; size rises as discipline falls.
VIX (India)	Expected annualised volatility of NIFTY; 1-SD day $\approx \text{spot} \times \text{VIX} \div 100 \div \sqrt{252}$.
VWAP	Volume-weighted average price for the session; institutional benchmark.
Writer	Option seller; collects premium, carries the obligation.

Sources and further reading

- NSE circulars on lot-size revision (Jan-2026 series: NIFTY 75 $\rightarrow$ 65) and expiry-day changes; nseindia.com.
- SEBI circular on strengthening the equity index derivatives framework (1 Oct 2024) and the May 2025 circulars on expiry days and position-limit monitoring; sebi.gov.in.
- SEBI study on profit and loss of individual traders in equity F&O, FY25 (July 2025).

- Union Budget 2026-27: STT on options raised to 0.15% from 1 Apr 2026.
- NSE: pre-open session in equity derivatives from 8 Dec 2025; revised order-entry phases from 7 Sep 2026.
- Richard D. Wyckoff, the Wyckoff method (accumulation/distribution); Mark Douglas, *Trading in the Zone* (2000); Brett N. Steenbarger, *The Daily Trading Coach* (2009); Van K. Tharp, *Trade Your Way to Financial Freedom* (R-multiples and position sizing).

GURUJI SAYS

Beta, the book ends here; the work starts tomorrow at 08:30. Map the levels, size at 1%, wait for your five setups, and be flat by 14:45 on Tuesday. Do that for six months and the market will stop collecting fees from you.